Institutional-Style Valuation Engine

Stages 1 and 2: assumptions, forecast and FCFF • 32 Nifty companies • INR • sources: NSE filings, FRED, Nifty 50

What this document is, and what it is not

This is not a valuation. There is no fair value in it, because nothing has been discounted: WACC is the next stage. What it contains is everything a discounted cash flow stands on, published on its own so that it can be argued with while it is still cheap to change. Reviewing inputs after a share price exists is how a model gets talked into its conclusion.

Stage 1 derives the assumptions. Stage 2 turns them into a forecast income statement and then into free cash flow to the firm, with every component of the build shown as its own line. Tax is charged on unlevered EBIT and interest never appears, because the financing effect belongs in the discount rate; putting it in the cash flow as well would value the debt tax shield twice, which is the single most common way a DCF flatters itself.

Every assumption here is produced by a stated rule applied to the company's own reported history, and each one carries the reasoning behind it and a confidence level. Nothing is a hard-coded growth rate. Where a value is set by hand it is tagged as an override and reports what the derived value would have been, so a judgement call can never be mistaken for something the evidence produced.

The assumption rules

Assumption	Rule	What it is defending against
Revenue growth (start)	Recent 3-year CAGR, half the excess above 25% removed	One noisy year setting the path; exceptional growth rarely survives a full horizon
Growth path	Geometric fade from start to terminal	A flat path then a drop to terminal implies a cliff no business experiences
Terminal growth	Lower of nominal GDP and current growth	Assuming a slow-growing business re-accelerates forever, which loads the terminal value
EBITDA margin	Recent 3-year average, held flat	Extending margin expansion, the most common way a DCF is talked upward
D&A / revenue	Full-period median	One impairment setting the run rate
Capex / revenue	Full-period median	Understating capex, the easiest way to manufacture free cash flow
Working capital / revenue	Recent 3-year average	A median spanning a structural shift, creating a phantom first-year cash flow
Tax rate	Median effective rate, bounded 10-35%	Projecting temporary credits into perpetuity

Derived assumptions across the universe

Company	Sector	Yrs	Growth	Term g	EBITDA	Capex	NWC	Tax	Conf.
BAJAJ-AUTO	Automobiles	4	19.5%	5.6%	24.1%	1.7%	5.0%	23.6%	low
EICHERMOT	Automobiles	4	17.5%	9.0%	35.7%	5.3%	-5.8%	22.7%	medium
HEROMOTOCO	Automobiles	4	11.7%	9.0%	16.8%	2.1%	-4.3%	26.4%	medium
M&M	Automobiles	4	17.5%	9.0%	21.1%	6.0%	21.8%	26.2%	medium
MARUTI	Automobiles	4	15.9%	5.6%	16.2%	6.9%	-8.7%	22.9%	medium
GRASIM	Cement	4	14.3%	9.0%	14.7%	11.0%	13.8%	35.0%	low
SHREECEM	Cement	4	5.7%	5.6%	25.0%	17.5%	2.1%	17.1%	low
ULTRACEMCO	Cement	4	11.9%	9.0%	18.9%	11.6%	-7.4%	25.4%	medium
ASIANPAINT	Consumer Discretionary	4	1.1%	2.0%	21.1%	4.8%	12.4%	26.9%	medium
TITAN	Consumer Discretionary	4	27.1%	9.0%	10.6%	1.1%	36.9%	25.9%	medium
ONGC	Energy	4	-1.3%	2.0%	18.3%	8.8%	-2.0%	27.6%	medium
RELIANCE	Energy	4	6.4%	6.4%	19.3%	15.3%	-8.0%	26.0%	low
BRITANNIA	FMCG	4	5.7%	5.7%	19.8%	2.7%	-2.1%	24.6%	low
DABUR	FMCG	4	4.5%	4.5%	23.2%	4.5%	-1.1%	22.8%	medium
HINDUNILVR	FMCG	4	2.3%	2.3%	25.6%	2.1%	-8.6%	25.0%	medium
ITC	FMCG	4	3.6%	3.6%	39.6%	3.5%	13.4%	24.2%	low
HCLTECH	IT Services	4	8.6%	8.6%	22.8%	1.0%	7.0%	24.9%	medium
INFY	IT Services	4	3.4%	3.4%	26.1%	1.5%	12.3%	27.4%	medium
TCS	IT Services	4	5.8%	5.8%	27.7%	1.5%	11.7%	25.6%	medium
TECHM	IT Services	4	2.2%	2.2%	13.6%	1.4%	8.5%	25.4%	medium
WIPRO	IT Services	4	0.8%	2.0%	22.6%	1.7%	6.3%	24.1%	medium
LT	Infrastructure	4	16.1%	5.6%	12.2%	1.9%	20.3%	29.0%	low
HINDALCO	Metals	4	7.1%	7.1%	12.4%	8.0%	7.7%	27.6%	low
JSWSTEEL	Metals	4	3.6%	3.6%	18.7%	8.5%	14.9%	29.0%	medium
TATASTEEL	Metals	4	-1.6%	2.0%	11.5%	6.8%	-4.5%	35.0%	low
CIPLA	Pharmaceuticals	4	7.2%	5.6%	26.2%	5.5%	26.4%	26.6%	low
DIVISLAB	Pharmaceuticals	4	11.0%	9.0%	35.1%	14.1%	56.8%	24.5%	low
DRREDDY	Pharmaceuticals	4	11.0%	5.6%	28.3%	10.2%	31.0%	23.9%	low
SUNPHARMA	Pharmaceuticals	4	10.4%	9.0%	30.8%	4.7%	20.0%	16.7%	medium
BHARTIARTL	Telecom	4	14.9%	9.0%	53.0%	22.5%	-57.9%	31.9%	medium
NTPC	Utilities	4	1.9%	2.0%	32.4%	19.8%	15.4%	25.3%	low
POWERGRID	Utilities	4	0.6%	2.0%	91.8%	40.3%	6.5%	14.4%	low

Growth is the first forecast year. Term g is the perpetuity rate. Confidence is the weakest link in each company's assumption set, not an average, because a forecast is only as strong as its softest driver.

Forecast free cash flow across the universe

Company	Sector	FCFF yr 1	FCFF terminal	FCFF margin	Reinvestment
POWERGRID	Utilities	191,156	208,969	43.1%	74%
ITC	FMCG	216,387	239,291	26.0%	16%
EICHERMOT	Automobiles	64,793	65,446	19.3%	37%
TCS	IT Services	538,633	611,639	18.0%	16%
HINDUNILVR	FMCG	115,852	114,440	16.8%	17%
INFY	IT Services	355,641	351,803	16.5%	19%
SUNPHARMA	Pharmaceuticals	128,359	116,630	15.8%	50%
BAJAJ-AUTO	Automobiles	116,232	141,429	14.7%	22%
WIPRO	IT Services	152,175	132,697	14.6%	24%
BHARTIARTL	Telecom	713,602	70,760	13.7%	169%
HCLTECH	IT Services	232,216	213,275	13.2%	33%
DABUR	FMCG	19,343	19,440	12.9%	38%
BRITANNIA	FMCG	25,423	30,303	12.4%	22%
CIPLA	Pharmaceuticals	38,794	43,823	12.2%	50%
ASIANPAINT	Consumer Discretionary	40,471	48,270	12.0%	31%
DRREDDY	Pharmaceuticals	35,538	64,637	11.6%	64%
DIVISLAB	Pharmaceuticals	9,069	21,215	10.6%	73%
NTPC	Utilities	122,936	246,523	9.8%	100%
HEROMOTOCO	Automobiles	59,021	59,001	9.2%	34%
TECHM	IT Services	54,939	42,595	7.9%	41%
MARUTI	Automobiles	157,769	182,425	7.0%	67%
ONGC	Energy	354,987	464,252	6.8%	86%
M&M	Automobiles	164,861	129,947	5.2%	87%
JSWSTEEL	Metals	107,272	103,560	5.2%	98%
SHREECEM	Cement	11,125	13,824	5.1%	158%
LT	Infrastructure	145,547	172,795	4.0%	68%
TATASTEEL	Metals	50,508	75,793	2.8%	140%
ULTRACEMCO	Cement	44,593	16,962	2.6%	122%
RELIANCE	Energy	99,466	516,218	2.4%	130%
TITAN	Consumer Discretionary	-8,699	61,407	1.5%	95%
HINDALCO	Metals	39,366	54,292	1.4%	129%
GRASIM	Cement	-34,297	23,271	-0.3%	165%

Reinvestment is capex plus the working capital movement as a share of NOPAT. Above 100% the company is investing more than it earns after tax and is funding growth externally, which is normal for cement, metals and utilities and would be a warning for IT services. All figures are INR millions and none of them has been discounted yet.

Excluded, and why

• **NESTLEIND** (Nestle India): revenue has only 1 usable years, too few to trend.

These are excluded rather than filled in. A forecast built on two observations would look identical on the page to one built on ten.

Sector medians

Sector	Companies	Median growth	Median EBITDA margin	Median capex/rev	Median NWC/rev
Utilities	2	1.2%	62.1%	30.1%	11.0%
Telecom	1	14.9%	53.0%	22.5%	-57.9%
Pharmaceuticals	4	10.7%	29.6%	7.8%	28.7%
FMCG	4	4.1%	24.4%	3.1%	-1.6%
IT Services	5	3.4%	22.8%	1.5%	8.5%
Automobiles	5	17.5%	21.1%	5.3%	-4.3%
Cement	3	11.9%	18.9%	11.6%	2.1%
Energy	2	2.5%	18.8%	12.0%	-5.0%
Consumer Discretionary	2	14.1%	15.9%	2.9%	24.6%
Metals	3	3.6%	12.4%	8.0%	7.7%
Infrastructure	1	16.1%	12.2%	1.9%	20.3%

The spread is the case for peer-relative comparison in the comparables stage: an 11% capex ratio is ordinary for cement and would be alarming for IT services.

Bajaj Auto (BAJAJ-AUTO)

Automobiles | FY2022 to FY2025 | INR millions | assumption confidence: low

FY	Revenue	EBITDA	EBIT	D&A	Capex	NWC	dNWC	Net debt	Growth	EBITDA %	Capex %
2022	353,915	81,673	78,815	2,858	11,102	-8,259	n/a	-52,055	n/a	23.1%	3.1%
2023	437,821	104,652	101,004	3,648	7,228	-24,392	-16,133	-45,535	23.7%	23.9%	1.7%
2024	492,670	110,267	106,124	4,142	8,738	18,172	42,564	378	12.5%	22.4%	1.8%
2025	603,864	157,638	151,191	6,447	7,223	102,616	84,444	115,463	22.6%	26.1%	1.2%

What the history says

• Revenue compounded at 19.5% over 3 years, and at 19.5% over the last three.

• EBITDA compounded at 24.5%, against revenue at 19.5%: operating leverage is positive.

• Revenue growth: decelerating. Growth has decelerated. The forecast should continue fading rather than assume a recovery the history does not support.

• EBITDA margin: stable. EBITDA margin has been stable, so the recent average is a reasonable forecast level.

• EBIT margin: stable. EBIT margin has been stable, so the recent average is a reasonable forecast level.

• FCF margin: deteriorating. Cash conversion has deteriorated. Earnings are turning into cash less reliably, which is a warning worth carrying into the forecast.

• Capex / revenue: stable. Capital intensity has been stable.

Forecast assumptions and why

revenue growth start: 0.1949 (low)

Revenue CAGR of 19.5%. The history is short enough that the recent window and the full period are the same span, so there is no longer-run rate to compare against and the forecast rests on fewer observations than it should.

revenue growth path: 0.1949 (low)

Fades geometrically from 19.5% to 5.6% over 5 years: 19.5%, 14.6%, 10.5%, 7.4%, 5.6%. Holding growth flat and then dropping straight to the terminal rate would imply a cliff that no business experiences.

ebitda margin: 0.2413 (high)

Three-year average EBITDA margin of 24.1%, held flat. History says the margin is stable. A stable history makes the recent average the natural forecast level.

da pct revenue: 0.0084 (high)

Median D&A of 0.8% of revenue. D&A is forecast as a share of revenue rather than grown independently, so it stays tied to the asset base that revenue implies. The median avoids letting one impairment set the run rate.

tax rate: 0.2357 (high)

Median effective tax rate of 23.6%, bounded to [10%, 35%]. The effective rate is used because it is what the company actually pays. The floor exists because temporary credits and one-off settlements should not be projected into perpetuity.

capex pct revenue: 0.0171 (medium)

Median capex of 1.7% of revenue, where capital intensity is stable. Capex is the assumption most often set too low, because it is the easiest way to manufacture free cash flow.

capex pct revenue path: 0.0171 (medium)

Terminal-consistent capex of 4.7% of revenue: the level that reinvests 23% of NOPAT, the share needed to sustain 5.6% growth at a 24.0% return on invested capital. Capex fades from its historical share of revenue toward this figure over the forecast, in step with revenue growth fading toward its terminal rate, rather than staying at an investment-phase level while the growth it was funding tails off underneath it. Path: 1.7%, 2.8%, 3.7%, 4.4%, 4.7%.

nwc pct revenue: 0.0504 (low)

Three-year average non-cash working capital of 5.0% of revenue, against a full-period median of 0.7%. The recent level is used because the forecast bridges from the last reported balance, and a ratio drawn from a period the business has moved away from would create a first-year cash flow that is an artefact of averaging. Holding the ratio constant means growth consumes cash in proportion to the revenue it adds. A negative ratio means suppliers and customers fund the business, so growth releases cash rather than consuming it.

terminal growth: 0.0562 (medium)

Capped at long-run nominal GDP of 9.0%, reduced to 5.6% because growth is fading. No company can outgrow the economy in perpetuity, so this is a ceiling rather than a view.

Resulting forecast drivers

Year	Rev growth	EBITDA margin	D&A / rev	Capex / rev	NWC / rev	Tax
2026E	19.5%	24.1%	0.8%	1.7%	5.0%	23.6%
2027E	14.6%	24.1%	0.8%	2.8%	5.0%	23.6%
2028E	10.5%	24.1%	0.8%	3.7%	5.0%	23.6%
2029E	7.4%	24.1%	0.8%	4.4%	5.0%	23.6%
2030E	5.6%	24.1%	0.8%	4.7%	5.0%	23.6%

Free cash flow to the firm

	2026E	2027E	2028E	2029E	2030E
EBIT	168,051	192,635	212,908	228,565	241,410
Tax on EBIT	-39,610	-45,404	-50,182	-53,873	-56,900
NOPAT	**128,441**	**147,231**	**162,725**	**174,692**	**184,510**
Depreciation and amortisation	6,061	6,948	7,679	8,244	8,707
Capital expenditure	-12,339	-22,895	-33,467	-42,700	-49,008
Change in working capital	-5,932	-5,320	-4,387	-3,388	-2,780
FCFF	**116,232**	**125,964**	**132,550**	**136,847**	**141,429**

Every figure is a cash impact, so a negative number is an outflow. Tax is charged on unlevered EBIT and interest is absent: the financing effect belongs in the discount rate, and counting it here as well would value the debt tax shield twice.

What to argue with

• Terminal capex (49,008) still runs 5.6x terminal D&A (8,707) even after fading toward the ROIC-consistent level. In perpetuity the two should converge, so terminal value from this base may still overstate the reinvestment the company can sustain.

Data quality: only 4 years of history, which is thin for a trend-based forecast.

Eicher Motors (EICHERMOT)

Automobiles | FY2022 to FY2025 | INR millions | assumption confidence: medium

FY	Revenue	EBITDA	EBIT	D&A	Capex	NWC	dNWC	Net debt	Growth	EBITDA %	Capex %
2022	141,759	43,539	38,276	5,262	6,825	-4,682	n/a	-7,612	n/a	30.7%	4.8%
2023	162,340	58,505	52,529	5,976	8,185	-7,934	-3,252	-10,390	14.5%	36.0%	5.0%
2024	185,382	67,167	59,874	7,293	10,393	-11,513	-3,579	-34,637	14.2%	36.2%	5.6%
2025	229,776	80,140	71,736	8,404	12,753	-14,321	-2,808	-55,658	23.9%	34.9%	5.6%

What the history says

• Revenue compounded at 17.5% over 3 years, and at 17.5% over the last three.

• EBITDA compounded at 22.6%, against revenue at 17.5%: operating leverage is positive.

• Revenue growth: accelerating. Growth has accelerated. Acceleration is rarely permanent, so a forecast should fade it toward a sustainable rate rather than extend it.

• EBITDA margin: expanding. EBITDA margin has expanded by 2.2%. Holding the recent level flat is the defensible base case; assuming further expansion needs a stated reason.

• EBIT margin: expanding. EBIT margin has expanded by 2.1%. Holding the recent level flat is the defensible base case; assuming further expansion needs a stated reason.

• FCF margin: stable. Cash conversion has been stable.

• Capex / revenue: stable. Capital intensity has been stable.

Forecast assumptions and why

revenue growth start: 0.1747 (low)

Revenue CAGR of 17.5%. The history is short enough that the recent window and the full period are the same span, so there is no longer-run rate to compare against and the forecast rests on fewer observations than it should.

revenue growth path: 0.1747 (low)

Fades geometrically from 17.5% to 9.0% over 5 years: 17.5%, 14.5%, 12.0%, 10.1%, 9.0%. Holding growth flat and then dropping straight to the terminal rate would imply a cliff that no business experiences.

ebitda margin: 0.3572 (medium)

Three-year average EBITDA margin of 35.7%, held flat. History says the margin is expanding. It has been expanding, but extending expansion into the forecast is the most common way a DCF is quietly steered upward, so the base case does not.

da pct revenue: 0.037 (high)

Median D&A of 3.7% of revenue. D&A is forecast as a share of revenue rather than grown independently, so it stays tied to the asset base that revenue implies. The median avoids letting one impairment set the run rate.

tax rate: 0.2272 (high)

Median effective tax rate of 22.7%, bounded to [10%, 35%]. The effective rate is used because it is what the company actually pays. The floor exists because temporary credits and one-off settlements should not be projected into perpetuity.

capex pct revenue: 0.053 (medium)

Median capex of 5.3% of revenue, where capital intensity is stable. Capex is the assumption most often set too low, because it is the easiest way to manufacture free cash flow.

capex pct revenue path: 0.053 (medium)

Terminal-consistent capex of 13.2% of revenue: the level that reinvests 36% of NOPAT, the share needed to sustain 9.0% growth at a 24.9% return on invested capital. Capex fades from its historical share of revenue toward this figure over the forecast, in step with revenue growth fading toward its terminal rate, rather than staying at an investment-phase level while the growth it was funding tails off underneath it. Path: 5.3%, 8.1%, 10.4%, 12.2%, 13.2%.

nwc pct revenue: -0.0578 (medium)

Three-year average non-cash working capital of -5.8% of revenue, consistent with the full-period median of -5.5%. Holding the ratio constant means growth consumes cash in proportion to the revenue it adds. A negative ratio means suppliers and customers fund the business, so growth releases cash rather than consuming it.

terminal growth: 0.09 (medium)

Capped at long-run nominal GDP of 9.0%. No company can outgrow the economy in perpetuity, so this is a ceiling rather than a view.

Resulting forecast drivers

Year	Rev growth	EBITDA margin	D&A / rev	Capex / rev	NWC / rev	Tax
2026E	17.5%	35.7%	3.7%	5.3%	-5.8%	22.7%
2027E	14.5%	35.7%	3.7%	8.1%	-5.8%	22.7%
2028E	12.0%	35.7%	3.7%	10.4%	-5.8%	22.7%
2029E	10.1%	35.7%	3.7%	12.2%	-5.8%	22.7%
2030E	9.0%	35.7%	3.7%	13.2%	-5.8%	22.7%

Free cash flow to the firm

	2026E	2027E	2028E	2029E	2030E
EBIT	86,428	98,960	110,831	121,979	132,957
Tax on EBIT	-19,636	-22,484	-25,181	-27,714	-30,208
NOPAT	**66,791**	**76,477**	**85,650**	**94,266**	**102,749**
Depreciation and amortisation	9,987	11,435	12,807	14,095	15,364
Capital expenditure	-14,306	-24,895	-35,935	-46,392	-54,649
Change in working capital	2,320	2,262	2,143	2,012	1,982
FCFF	**64,793**	**65,279**	**64,664**	**63,981**	**65,446**

Every figure is a cash impact, so a negative number is an outflow. Tax is charged on unlevered EBIT and interest is absent: the financing effect belongs in the discount rate, and counting it here as well would value the debt tax shield twice.

What to argue with

• Terminal capex (54,649) still runs 3.6x terminal D&A (15,364) even after fading toward the ROIC-consistent level. In perpetuity the two should converge, so terminal value from this base may still overstate the reinvestment the company can sustain.

Data quality: only 4 years of history, which is thin for a trend-based forecast.

Hero MotoCorp (HEROMOTOCO)

Automobiles | FY2022 to FY2025 | INR millions | assumption confidence: medium

FY	Revenue	EBITDA	EBIT	D&A	Capex	NWC	dNWC	Net debt	Growth	EBITDA %	Capex %
2022	337,377	46,659	39,685	6,974	6,042	-3,446	n/a	-34,929	n/a	13.8%	1.8%
2023	375,990	59,239	51,666	7,574	7,879	-13,438	-9,992	-43,679	11.4%	15.8%	2.1%
2024	407,125	68,288	60,042	8,246	8,564	-7,731	5,707	-64,879	8.3%	16.8%	2.1%
2025	470,484	83,688	75,138	8,550	11,001	-34,425	-26,694	-121,627	15.6%	17.8%	2.3%

What the history says

• Revenue compounded at 11.7% over 3 years, and at 11.7% over the last three.

• EBITDA compounded at 21.5%, against revenue at 11.7%: operating leverage is positive.

• Revenue growth: stable. Growth has been broadly stable, which makes a modest fade the neutral base case.

• EBITDA margin: expanding. EBITDA margin has expanded by 2.5%. Holding the recent level flat is the defensible base case; assuming further expansion needs a stated reason.

• EBIT margin: expanding. EBIT margin has expanded by 2.6%. Holding the recent level flat is the defensible base case; assuming further expansion needs a stated reason.

• FCF margin: improving. Cash conversion has improved, which supports the quality of reported earnings.

• Capex / revenue: stable. Capital intensity has been stable.

Forecast assumptions and why

revenue growth start: 0.1172 (low)

Revenue CAGR of 11.7%. The history is short enough that the recent window and the full period are the same span, so there is no longer-run rate to compare against and the forecast rests on fewer observations than it should.

revenue growth path: 0.1172 (low)

Fades geometrically from 11.7% to 9.0% over 5 years: 11.7%, 10.8%, 10.0%, 9.3%, 9.0%. Holding growth flat and then dropping straight to the terminal rate would imply a cliff that no business experiences.

ebitda margin: 0.1677 (medium)

Three-year average EBITDA margin of 16.8%, held flat. History says the margin is expanding. It has been expanding, but extending expansion into the forecast is the most common way a DCF is quietly steered upward, so the base case does not.

da pct revenue: 0.0202 (high)

Median D&A of 2.0% of revenue. D&A is forecast as a share of revenue rather than grown independently, so it stays tied to the asset base that revenue implies. The median avoids letting one impairment set the run rate.

tax rate: 0.2636 (high)

Median effective tax rate of 26.4%, bounded to [10%, 35%]. The effective rate is used because it is what the company actually pays. The floor exists because temporary credits and one-off settlements should not be projected into perpetuity.

capex pct revenue: 0.021 (medium)

Median capex of 2.1% of revenue, where capital intensity is stable. Capex is the assumption most often set too low, because it is the easiest way to manufacture free cash flow.

capex pct revenue path: 0.021 (medium)

Terminal-consistent capex of 5.5% of revenue: the level that reinvests 29% of NOPAT, the share needed to sustain 9.0% growth at a 31.6% return on invested capital. Capex fades from its historical share of revenue toward this figure over the forecast, in step with revenue growth fading toward its terminal rate, rather than staying at an investment-phase level while the growth it was funding tails off underneath it. Path: 2.1%, 3.3%, 4.3%, 5.1%, 5.5%.

nwc pct revenue: -0.0426 (medium)

Three-year average non-cash working capital of -4.3% of revenue, consistent with the full-period median of -2.7%. Holding the ratio constant means growth consumes cash in proportion to the revenue it adds. A negative ratio means suppliers and customers fund the

business, so growth releases cash rather than consuming it.

terminal growth: 0.09 (medium)

Capped at long-run nominal GDP of 9.0%. No company can outgrow the economy in perpetuity, so this is a ceiling rather than a view.

Resulting forecast drivers

Year	Rev growth	EBITDA margin	D&A / rev	Capex / rev	NWC / rev	Tax
2026E	11.7%	16.8%	2.0%	2.1%	-4.3%	26.4%
2027E	10.8%	16.8%	2.0%	3.3%	-4.3%	26.4%
2028E	10.0%	16.8%	2.0%	4.3%	-4.3%	26.4%
2029E	9.3%	16.8%	2.0%	5.1%	-4.3%	26.4%
2030E	9.0%	16.8%	2.0%	5.5%	-4.3%	26.4%

Free cash flow to the firm

	2026E	2027E	2028E	2029E	2030E
EBIT	77,530	85,877	94,432	103,252	112,545
Tax on EBIT	-20,437	-22,637	-24,892	-27,217	-29,667
NOPAT	**57,093**	**63,240**	**69,540**	**76,035**	**82,878**
Depreciation and amortisation	10,618	11,761	12,932	14,140	15,413
Capital expenditure	-11,038	-19,167	-27,523	-35,533	-41,974
Change in working capital	2,349	2,411	2,471	2,547	2,684
FCFF	**59,021**	**58,245**	**57,420**	**57,190**	**59,001**

Every figure is a cash impact, so a negative number is an outflow. Tax is charged on unlevered EBIT and interest is absent: the financing effect belongs in the discount rate, and counting it here as well would value the debt tax shield twice.

What to argue with

• Terminal capex (41,974) still runs 2.7x terminal D&A (15,413) even after fading toward the ROIC-consistent level. In perpetuity the two should converge, so terminal value from this base may still overstate the reinvestment the company can sustain.

Data quality: only 4 years of history, which is thin for a trend-based forecast.

Mahindra & Mahindra (M&M;)

Automobiles | FY2022 to FY2025 | INR millions | assumption confidence: medium

FY	Revenue	EBITDA	EBIT	D&A	Capex	NWC	dNWC	Net debt	Growth	EBITDA %	Capex %
2022	1,190,404	240,884	197,597	43,287	63,046	280,274	n/a	657,886	n/a	20.2%	5.3%
2023	1,358,030	278,480	233,118	45,363	99,460	324,578	44,303	808,798	14.1%	20.5%	7.3%
2024	1,556,453	334,916	279,334	55,582	103,920	358,446	33,868	830,768	14.6%	21.5%	6.7%
2025	1,930,980	412,284	345,386	66,898	96,054	358,453	7	826,228	24.1%	21.4%	5.0%

What the history says

• Revenue compounded at 17.5% over 3 years, and at 17.5% over the last three.

• EBITDA compounded at 19.6%, against revenue at 17.5%: operating leverage is positive.

• Revenue growth: accelerating. Growth has accelerated. Acceleration is rarely permanent, so a forecast should fade it toward a sustainable rate rather than extend it.

• EBITDA margin: stable. EBITDA margin has been stable, so the recent average is a reasonable forecast level.

• EBIT margin: stable. EBIT margin has been stable, so the recent average is a reasonable forecast level.

• FCF margin: improving. Cash conversion has improved, which supports the quality of reported earnings.

• Capex / revenue: stable. Capital intensity has been stable.

Forecast assumptions and why

revenue growth start: 0.175 (low)

Revenue CAGR of 17.5%. The history is short enough that the recent window and the full period are the same span, so there is no longer-run rate to compare against and the forecast rests on fewer observations than it should.

revenue growth path: 0.175 (low)

Fades geometrically from 17.5% to 9.0% over 5 years: 17.5%, 14.5%, 12.0%, 10.1%, 9.0%. Holding growth flat and then dropping straight to the terminal rate would imply a cliff that no business experiences.

ebitda margin: 0.2113 (high)

Three-year average EBITDA margin of 21.1%, held flat. History says the margin is stable. A stable history makes the recent average the natural forecast level.

da pct revenue: 0.0352 (high)

Median D&A of 3.5% of revenue. D&A is forecast as a share of revenue rather than grown independently, so it stays tied to the asset base that revenue implies. The median avoids letting one impairment set the run rate.

tax rate: 0.2625 (high)

Median effective tax rate of 26.2%, bounded to [10%, 35%]. The effective rate is used because it is what the company actually pays. The floor exists because temporary credits and one-off settlements should not be projected into perpetuity.

capex pct revenue: 0.0599 (medium)

Median capex of 6.0% of revenue, where capital intensity is stable. Capex is the assumption most often set too low, because it is the easiest way to manufacture free cash flow.

capex pct revenue path: 0.0599 (medium)

Terminal-consistent capex of 11.0% of revenue: the level that reinvests 73% of NOPAT, the share needed to sustain 9.0% growth at a 12.4% return on invested capital. Capex fades from its historical share of revenue toward this figure over the forecast, in step with revenue growth fading toward its terminal rate, rather than staying at an investment-phase level while the growth it was funding tails off underneath it. Path: 6.0%, 7.7%, 9.2%, 10.4%, 11.0%.

nwc pct revenue: 0.2183 (medium)

Three-year average non-cash working capital of 21.8% of revenue, consistent with the full-period median of 23.3%. Holding the ratio constant means growth consumes cash in proportion to the revenue it adds. A negative ratio means suppliers and customers fund the business, so growth releases cash rather than consuming it.

terminal growth: 0.09 (medium)

Capped at long-run nominal GDP of 9.0%. No company can outgrow the economy in perpetuity, so this is a ceiling rather than a view.

Resulting forecast drivers

Year	Rev growth	EBITDA margin	D&A / rev	Capex / rev	NWC / rev	Tax
2026E	17.5%	21.1%	3.5%	6.0%	21.8%	26.2%
2027E	14.5%	21.1%	3.5%	7.7%	21.8%	26.2%
2028E	12.0%	21.1%	3.5%	9.2%	21.8%	26.2%
2029E	10.1%	21.1%	3.5%	10.4%	21.8%	26.2%
2030E	9.0%	21.1%	3.5%	11.0%	21.8%	26.2%

Free cash flow to the firm

	2026E	2027E	2028E	2029E	2030E
EBIT	399,553	457,573	512,504	564,072	614,839
Tax on EBIT	-104,883	-120,113	-134,532	-148,069	-161,395
NOPAT	**294,671**	**337,460**	**377,972**	**416,003**	**453,444**
Depreciation and amortisation	79,865	91,463	102,443	112,750	122,898
Capital expenditure	-135,907	-201,114	-268,272	-331,813	-383,463
Change in working capital	-73,768	-71,923	-68,095	-63,926	-62,932
FCFF	**164,861**	**155,886**	**144,048**	**133,015**	**129,947**

Every figure is a cash impact, so a negative number is an outflow. Tax is charged on unlevered EBIT and interest is absent: the financing effect belongs in the discount rate, and counting it here as well would value the debt tax shield twice.

What to argue with

• Terminal capex (383,463) still runs 3.1x terminal D&A (122,898) even after fading toward the ROIC-consistent level. In perpetuity the two should converge, so terminal value from this base may still overstate the reinvestment the company can sustain.

Data quality: only 4 years of history, which is thin for a trend-based forecast.

Maruti Suzuki India (MARUTI)

Automobiles | FY2022 to FY2025 | INR millions | assumption confidence: medium

FY	Revenue	EBITDA	EBIT	D&A	Capex	NWC	dNWC	Net debt	Growth	EBITDA %	Capex %
2022	1,137,648	155,365	106,905	48,460	80,648	-100,353	n/a	-29,060	n/a	13.7%	7.1%
2023	1,364,838	228,739	176,181	52,558	91,999	-124,845	-24,492	-90,810	20.0%	16.8%	6.7%
2024	1,474,686	254,224	198,142	56,082	106,210	-125,674	-829	-114,341	8.0%	17.2%	7.2%
2025	1,770,941	260,989	193,572	67,417	103,976	-148,080	-22,406	-172,224	20.1%	14.7%	5.9%

What the history says

• Revenue compounded at 15.9% over 3 years, and at 15.9% over the last three.

• EBITDA compounded at 18.9%, against revenue at 15.9%: operating leverage is positive.

• Revenue growth: decelerating. Growth has decelerated. The forecast should continue fading rather than assume a recovery the history does not support.

• EBITDA margin: stable. EBITDA margin has been stable, so the recent average is a reasonable forecast level.

• EBIT margin: stable. EBIT margin has been stable, so the recent average is a reasonable forecast level.

• FCF margin: stable. Cash conversion has been stable.

• Capex / revenue: stable. Capital intensity has been stable.

Forecast assumptions and why

revenue growth start: 0.159 (low)

Revenue CAGR of 15.9%. The history is short enough that the recent window and the full period are the same span, so there is no longer-run rate to compare against and the forecast rests on fewer observations than it should.

revenue growth path: 0.159 (low)

Fades geometrically from 15.9% to 5.6% over 5 years: 15.9%, 12.3%, 9.3%, 6.9%, 5.6%. Holding growth flat and then dropping straight to the terminal rate would imply a cliff that no business experiences.

ebitda margin: 0.1625 (high)

Three-year average EBITDA margin of 16.2%, held flat. History says the margin is stable. A stable history makes the recent average the natural forecast level.

da pct revenue: 0.0383 (high)

Median D&A of 3.8% of revenue. D&A is forecast as a share of revenue rather than grown independently, so it stays tied to the asset base that revenue implies. The median avoids letting one impairment set the run rate.

tax rate: 0.229 (high)

Median effective tax rate of 22.9%, bounded to [10%, 35%]. The effective rate is used because it is what the company actually pays. The floor exists because temporary credits and one-off settlements should not be projected into perpetuity.

capex pct revenue: 0.0691 (medium)

Median capex of 6.9% of revenue, where capital intensity is stable. Capex is the assumption most often set too low, because it is the easiest way to manufacture free cash flow.

capex pct revenue path: 0.0691 (medium)

Terminal-consistent capex of 7.5% of revenue: the level that reinvests 33% of NOPAT, the share needed to sustain 5.6% growth at a 17.2% return on invested capital. Capex fades from its historical share of revenue toward this figure over the forecast, in step with revenue growth fading toward its terminal rate, rather than staying at an investment-phase level while the growth it was funding tails off underneath it. Path: 6.9%, 7.1%, 7.3%, 7.4%, 7.5%.

nwc pct revenue: -0.0868 (medium)

Three-year average non-cash working capital of -8.7% of revenue, consistent with the full-period median of -8.7%. Holding the ratio constant means growth consumes cash in proportion to the revenue it adds. A negative ratio means suppliers and customers fund the business, so growth releases cash rather than consuming it.

terminal growth: 0.0562 (medium)

Capped at long-run nominal GDP of 9.0%, reduced to 5.6% because growth is fading. No company can outgrow the economy in perpetuity, so this is a ceiling rather than a view.

Resulting forecast drivers

Year	Rev growth	EBITDA margin	D&A / rev	Capex / rev	NWC / rev	Tax
2026E	15.9%	16.2%	3.8%	6.9%	-8.7%	22.9%
2027E	12.3%	16.2%	3.8%	7.1%	-8.7%	22.9%
2028E	9.3%	16.2%	3.8%	7.3%	-8.7%	22.9%
2029E	6.9%	16.2%	3.8%	7.4%	-8.7%	22.9%
2030E	5.6%	16.2%	3.8%	7.5%	-8.7%	22.9%

Free cash flow to the firm

	2026E	2027E	2028E	2029E	2030E
EBIT	254,923	286,271	312,765	334,362	353,153
Tax on EBIT	-58,377	-65,556	-71,623	-76,569	-80,872
NOPAT	**196,546**	**220,715**	**241,142**	**257,793**	**272,281**
Depreciation and amortisation	78,612	88,278	96,449	103,108	108,903
Capital expenditure	-141,829	-163,649	-182,824	-198,786	-211,892
Change in working capital	24,441	21,908	18,516	15,093	13,133
FCFF	**157,769**	**167,252**	**173,283**	**177,208**	**182,425**

Every figure is a cash impact, so a negative number is an outflow. Tax is charged on unlevered EBIT and interest is absent: the financing effect belongs in the discount rate, and counting it here as well would value the debt tax shield twice.

What to argue with

• Terminal capex (211,892) still runs 1.9x terminal D&A (108,903) even after fading toward the ROIC-consistent level. In perpetuity the two should converge, so terminal value from this base may still overstate the reinvestment the company can sustain.

Data quality: only 4 years of history, which is thin for a trend-based forecast.

Grasim Industries (GRASIM)

Cement | FY2022 to FY2025 | INR millions | assumption confidence: low

FY	Revenue	EBITDA	EBIT	D&A	Capex	NWC	dNWC	Net debt	Growth	EBITDA %	Capex %
2022	1,164,666	205,080	159,790	45,290	120,362	101,953	n/a	806,159	n/a	17.6%	10.3%
2023	1,295,790	203,446	153,433	50,013	194,850	159,468	57,515	1,101,727	11.3%	15.7%	15.0%
2024	1,471,783	200,506	135,968	64,537	171,813	174,477	15,009	1,580,919	13.6%	13.6%	11.7%
2025	1,739,245	256,332	179,072	77,259	156,263	298,321	123,844	1,960,885	18.2%	14.7%	9.0%

What the history says

• Revenue compounded at 14.3% over 3 years, and at 14.3% over the last three.

• EBITDA compounded at 7.7%, against revenue at 14.3%: profit has grown more slowly than sales.

• Revenue growth: accelerating. Growth has accelerated. Acceleration is rarely permanent, so a forecast should fade it toward a sustainable rate rather than extend it.

• EBITDA margin: compressing. EBITDA margin has compressed by 2.5%, which is a direct drag on value and should not be assumed away in the base case.

• EBIT margin: compressing. EBIT margin has compressed by 3.0%, which is a direct drag on value and should not be assumed away in the base case.

• FCF margin: stable. Cash conversion has been stable.

• Capex / revenue: falling. Capital intensity is falling, which frees up cash at any given margin.

Forecast assumptions and why

revenue growth start: 0.143 (low)

Revenue CAGR of 14.3%. The history is short enough that the recent window and the full period are the same span, so there is no longer-run rate to compare against and the forecast rests on fewer observations than it should.

revenue growth path: 0.143 (low)

Fades geometrically from 14.3% to 9.0% over 5 years: 14.3%, 12.4%, 10.9%, 9.7%, 9.0%. Holding growth flat and then dropping straight to the terminal rate would imply a cliff that no business experiences.

ebitda margin: 0.1469 (medium)

Three-year average EBITDA margin of 14.7%, held flat. History says the margin is compressing. It has been compressing. Holding it flat is already generous relative to the trend; the bear case carries the compression through.

da pct revenue: 0.0414 (high)

Median D&A of 4.1% of revenue. D&A is forecast as a share of revenue rather than grown independently, so it stays tied to the asset base that revenue implies. The median avoids letting one impairment set the run rate.

tax rate: 0.35 (low)

Median effective tax rate of 42.7%, bounded to [10%, 35%]. The effective rate is used because it is what the company actually pays. The floor exists because temporary credits and one-off settlements should not be projected into perpetuity.

capex pct revenue: 0.11 (low)

Median capex of 11.0% of revenue, where capital intensity is falling. Capex is the assumption most often set too low, because it is the easiest way to manufacture free cash flow.

capex pct revenue path: 0.11 (low)

Terminal-consistent capex of 9.1% of revenue: the level that reinvests 80% of NOPAT, the share needed to sustain 4.0% growth at a 5.0% return on invested capital. Capex fades from its historical share of revenue toward this figure over the forecast, in step with revenue growth fading toward its terminal rate, rather than staying at an investment-phase level while the growth it was funding tails off underneath it. Path: 11.0%, 10.3%, 9.8%, 9.3%, 9.1%.

nwc pct revenue: 0.1377 (medium)

Three-year average non-cash working capital of 13.8% of revenue, consistent with the full-period median of 12.1%. Holding the ratio constant means growth consumes cash in proportion to the revenue it adds. A negative ratio means suppliers and customers fund the business, so growth releases cash rather than consuming it.

terminal growth: 0.09 (medium)

Capped at long-run nominal GDP of 9.0%. No company can outgrow the economy in perpetuity, so this is a ceiling rather than a view.

Resulting forecast drivers

Year	Rev growth	EBITDA margin	D&A / rev	Capex / rev	NWC / rev	Tax
2026E	14.3%	14.7%	4.1%	11.0%	13.8%	35.0%
2027E	12.4%	14.7%	4.1%	10.3%	13.8%	35.0%
2028E	10.9%	14.7%	4.1%	9.8%	13.8%	35.0%
2029E	9.7%	14.7%	4.1%	9.3%	13.8%	35.0%
2030E	9.0%	14.7%	4.1%	9.1%	13.8%	35.0%

Free cash flow to the firm

	2026E	2027E	2028E	2029E	2030E
EBIT	209,730	235,824	261,468	286,731	312,536
Tax on EBIT	-73,405	-82,538	-91,514	-100,356	-109,388
NOPAT	**136,324**	**153,286**	**169,954**	**186,375**	**203,149**
Depreciation and amortisation	82,301	92,541	102,604	112,518	122,645
Capital expenditure	-218,675	-230,795	-241,789	-253,193	-268,840
Change in working capital	-34,248	-34,059	-33,470	-32,974	-33,682
FCFF	**-34,297**	**-19,027**	**-2,701**	**12,727**	**23,271**

Every figure is a cash impact, so a negative number is an outflow. Tax is charged on unlevered EBIT and interest is absent: the financing effect belongs in the discount rate, and counting it here as well would value the debt tax shield twice.

What to argue with

• Terminal capex (268,840) still runs 2.2x terminal D&A (122,645) even after fading toward the ROIC-consistent level. In perpetuity the two should converge, so terminal value from this base may still overstate the reinvestment the company can sustain.

• FCFF is negative in 2026, 2027, 2028, so the company consumes cash in those years.

• Reinvestment averages 165% of NOPAT, so the company is investing more than it earns after tax and is funding growth externally.

Data quality: only 4 years of history, which is thin for a trend-based forecast.

Shree Cement (SHREECEM)

Cement | FY2022 to FY2025 | INR millions | assumption confidence: low

FY	Revenue	EBITDA	EBIT	D&A	Capex	NWC	dNWC	Net debt	Growth	EBITDA %	Capex %
2022	174,410	34,153	17,546	16,607	33,144	6,456	n/a	-8,245	n/a	19.6%	19.0%
2023	200,917	51,115	32,141	18,973	32,004	11,437	4,982	-40,470	15.2%	25.4%	15.9%
2024	189,764	45,195	15,127	30,068	41,047	-2,239	-13,676	-56,143	-5.6%	23.8%	21.6%
2025	205,878	52,935	24,995	27,940	19,092	3,791	6,030	-67,308	8.5%	25.7%	9.3%

What the history says

• Revenue compounded at 5.7% over 3 years, and at 5.7% over the last three.

• EBITDA compounded at 15.7%, against revenue at 5.7%: operating leverage is positive.

• Revenue growth: decelerating. Growth has decelerated. The forecast should continue fading rather than assume a recovery the history does not support.

• EBITDA margin: expanding. EBITDA margin has expanded by 2.3%. Holding the recent level flat is the defensible base case; assuming further expansion needs a stated reason.

• EBIT margin: compressing. EBIT margin has compressed by 3.0%, which is a direct drag on value and should not be assumed away in the base case.

• FCF margin: improving. Cash conversion has improved, which supports the quality of reported earnings.

• Capex / revenue: falling. Capital intensity is falling, which frees up cash at any given margin.

Forecast assumptions and why

revenue growth start: 0.0568 (low)

Revenue CAGR of 5.7%. The history is short enough that the recent window and the full period are the same span, so there is no longer-run rate to compare against and the forecast rests on fewer observations than it should.

revenue growth path: 0.0568 (low)

Fades geometrically from 5.7% to 5.6% over 5 years: 5.7%, 5.7%, 5.6%, 5.6%, 5.6%. Holding growth flat and then dropping straight to the terminal rate would imply a cliff that no business experiences.

ebitda margin: 0.2499 (medium)

Three-year average EBITDA margin of 25.0%, held flat. History says the margin is expanding. It has been expanding, but extending expansion into the forecast is the most common way a DCF is quietly steered upward, so the base case does not.

da pct revenue: 0.1155 (high)

Median D&A of 11.5% of revenue. D&A is forecast as a share of revenue rather than grown independently, so it stays tied to the asset base that revenue implies. The median avoids letting one impairment set the run rate.

tax rate: 0.1706 (high)

Median effective tax rate of 17.1%, bounded to [10%, 35%]. The effective rate is used because it is what the company actually pays. The floor exists because temporary credits and one-off settlements should not be projected into perpetuity.

capex pct revenue: 0.1747 (low)

Median capex of 17.5% of revenue, where capital intensity is falling. Capex is the assumption most often set too low, because it is the easiest way to manufacture free cash flow.

capex pct revenue path: 0.1747 (low)

Terminal-consistent capex of 17.5% of revenue: the level that reinvests 54% of NOPAT, the share needed to sustain 5.6% growth at a 10.4% return on invested capital. Capex fades from its historical share of revenue toward this figure over the forecast, in step with revenue growth fading toward its terminal rate, rather than staying at an investment-phase level while the growth it was funding tails off underneath it. Path: 17.5%, 17.5%, 17.5%, 17.5%, 17.5%.

nwc pct revenue: 0.0212 (medium)

Three-year average non-cash working capital of 2.1% of revenue, consistent with the full-period median of 2.8%. Holding the ratio constant means growth consumes cash in proportion to the revenue it adds. A negative ratio means suppliers and customers fund the business, so growth releases cash rather than consuming it.

terminal growth: 0.0562 (medium)

Capped at long-run nominal GDP of 9.0%, reduced to 5.6% because growth is fading. No company can outgrow the economy in perpetuity, so this is a ceiling rather than a view.

Resulting forecast drivers

Year	Rev growth	EBITDA margin	D&A / rev	Capex / rev	NWC / rev	Tax
2026E	5.7%	25.0%	11.6%	17.5%	2.1%	17.1%
2027E	5.7%	25.0%	11.6%	17.5%	2.1%	17.1%
2028E	5.6%	25.0%	11.6%	17.5%	2.1%	17.1%
2029E	5.6%	25.0%	11.6%	17.5%	2.1%	17.1%
2030E	5.6%	25.0%	11.6%	17.5%	2.1%	17.1%

Free cash flow to the firm

	2026E	2027E	2028E	2029E	2030E
EBIT	29,242	30,896	32,639	34,476	36,414
Tax on EBIT	-4,989	-5,271	-5,568	-5,882	-6,212
NOPAT	**24,253**	**25,626**	**27,071**	**28,594**	**30,201**
Depreciation and amortisation	25,130	26,552	28,049	29,628	31,293
Capital expenditure	-38,010	-40,170	-42,446	-44,839	-47,365
Change in working capital	-248	-261	-275	-290	-306
FCFF	**11,125**	**11,746**	**12,400**	**13,093**	**13,824**

Every figure is a cash impact, so a negative number is an outflow. Tax is charged on unlevered EBIT and interest is absent: the financing effect belongs in the discount rate, and counting it here as well would value the debt tax shield twice.

What to argue with

• Terminal capex (47,365) still runs 1.5x terminal D&A (31,293) even after fading toward the ROIC-consistent level. In perpetuity the two should converge, so terminal value from this base may still overstate the reinvestment the company can sustain.

• Reinvestment averages 158% of NOPAT, so the company is investing more than it earns after tax and is funding growth externally.

Data quality: only 4 years of history, which is thin for a trend-based forecast.

UltraTech Cement (ULTRACEMCO)

Cement | FY2022 to FY2025 | INR millions | assumption confidence: medium

FY	Revenue	EBITDA	EBIT	D&A	Capex	NWC	dNWC	Net debt	Growth	EBITDA %	Capex %
2022	623,376	110,662	81,782	28,880	62,001	-51,743	n/a	40,280	n/a	17.8%	9.9%
2023	698,095	135,273	103,820	31,453	90,056	-51,605	138	49,995	12.0%	19.4%	12.9%
2024	749,364	131,690	91,541	40,150	91,293	-59,332	-7,728	195,465	7.3%	17.6%	12.2%
2025	873,835	173,827	127,382	46,445	96,778	-60,562	-1,230	185,213	16.6%	19.9%	11.1%

What the history says

• Revenue compounded at 11.9% over 3 years, and at 11.9% over the last three.

• EBITDA compounded at 16.2%, against revenue at 11.9%: operating leverage is positive.

• Revenue growth: stable. Growth has been broadly stable, which makes a modest fade the neutral base case.

• EBITDA margin: stable. EBITDA margin has been stable, so the recent average is a reasonable forecast level.

• EBIT margin: stable. EBIT margin has been stable, so the recent average is a reasonable forecast level.

• FCF margin: stable. Cash conversion has been stable.

• Capex / revenue: stable. Capital intensity has been stable.

Forecast assumptions and why

revenue growth start: 0.1192 (low)

Revenue CAGR of 11.9%. The history is short enough that the recent window and the full period are the same span, so there is no longer-run rate to compare against and the forecast rests on fewer observations than it should.

revenue growth path: 0.1192 (low)

Fades geometrically from 11.9% to 9.0% over 5 years: 11.9%, 10.9%, 10.0%, 9.4%, 9.0%. Holding growth flat and then dropping straight to the terminal rate would imply a cliff that no business experiences.

ebitda margin: 0.1895 (high)

Three-year average EBITDA margin of 18.9%, held flat. History says the margin is stable. A stable history makes the recent average the natural forecast level.

da pct revenue: 0.0497 (high)

Median D&A of 5.0% of revenue. D&A is forecast as a share of revenue rather than grown independently, so it stays tied to the asset base that revenue implies. The median avoids letting one impairment set the run rate.

tax rate: 0.2539 (high)

Median effective tax rate of 25.4%, bounded to [10%, 35%]. The effective rate is used because it is what the company actually pays. The floor exists because temporary credits and one-off settlements should not be projected into perpetuity.

capex pct revenue: 0.1163 (medium)

Median capex of 11.6% of revenue, where capital intensity is stable. Capex is the assumption most often set too low, because it is the easiest way to manufacture free cash flow.

capex pct revenue path: 0.1163 (medium)

Terminal-consistent capex of 14.8% of revenue: the level that reinvests 88% of NOPAT, the share needed to sustain 9.0% growth at a 10.2% return on invested capital. Capex fades from its historical share of revenue toward this figure over the forecast, in step with revenue growth fading toward its terminal rate, rather than staying at an investment-phase level while the growth it was funding tails off underneath it. Path: 11.6%, 12.7%, 13.7%, 14.4%, 14.8%.

nwc pct revenue: -0.0741 (medium)

Three-year average non-cash working capital of -7.4% of revenue, consistent with the full-period median of -7.7%. Holding the ratio constant means growth consumes cash in proportion to the revenue it adds. A negative ratio means suppliers and customers fund the business, so growth releases cash rather than consuming it.

terminal growth: 0.09 (medium)

Capped at long-run nominal GDP of 9.0%. No company can outgrow the economy in perpetuity, so this is a ceiling rather than a view.

Resulting forecast drivers

Year	Rev growth	EBITDA margin	D&A / rev	Capex / rev	NWC / rev	Tax
2026E	11.9%	18.9%	5.0%	11.6%	-7.4%	25.4%
2027E	10.9%	18.9%	5.0%	12.7%	-7.4%	25.4%
2028E	10.0%	18.9%	5.0%	13.7%	-7.4%	25.4%
2029E	9.4%	18.9%	5.0%	14.4%	-7.4%	25.4%
2030E	9.0%	18.9%	5.0%	14.8%	-7.4%	25.4%

Free cash flow to the firm

	2026E	2027E	2028E	2029E	2030E
EBIT	136,724	151,623	166,833	182,457	198,879
Tax on EBIT	-34,714	-38,497	-42,359	-46,326	-50,495
NOPAT	**102,010**	**113,126**	**124,474**	**136,131**	**148,383**
Depreciation and amortisation	48,606	53,903	59,311	64,865	70,703
Capital expenditure	-113,741	-138,261	-163,397	-188,213	-210,828
Change in working capital	7,718	7,897	8,062	8,281	8,704
FCFF	**44,593**	**36,665**	**28,451**	**21,065**	**16,962**

Every figure is a cash impact, so a negative number is an outflow. Tax is charged on unlevered EBIT and interest is absent: the financing effect belongs in the discount rate, and counting it here as well would value the debt tax shield twice.

What to argue with

• Terminal capex (210,828) still runs 3.0x terminal D&A (70,703) even after fading toward the ROIC-consistent level. In perpetuity the two should converge, so terminal value from this base may still overstate the reinvestment the company can sustain.

• Reinvestment averages 122% of NOPAT, so the company is investing more than it earns after tax and is funding growth externally.

Data quality: only 4 years of history, which is thin for a trend-based forecast.

Asian Paints (ASIANPAINT)

Consumer Discretionary | FY2022 to FY2025 | INR millions | assumption confidence: medium

FY	Revenue	EBITDA	EBIT	D&A	Capex	NWC	dNWC	Net debt	Growth	EBITDA %	Capex %
2022	343,887	66,913	58,333	8,580	14,456	49,040	n/a	-26,987	n/a	19.5%	4.2%
2023	353,954	84,059	75,529	8,530	24,961	46,625	-2,415	-29,520	2.9%	23.7%	7.1%
2024	338,152	63,564	53,301	10,263	18,301	47,630	1,006	-24,012	-4.5%	18.8%	5.4%
2025	355,409	74,277	61,988	12,288	14,873	34,921	-12,710	-46,727	5.1%	20.9%	4.2%

What the history says

• Revenue compounded at 1.1% over 3 years, and at 1.1% over the last three.

• EBITDA compounded at 3.5%, against revenue at 1.1%: operating leverage is positive.

• Revenue growth: stable. Growth has been broadly stable, which makes a modest fade the neutral base case.

• EBITDA margin: stable. EBITDA margin has been stable, so the recent average is a reasonable forecast level.

• EBIT margin: compressing. EBIT margin has compressed by 2.5%, which is a direct drag on value and should not be assumed away in the base case.

• FCF margin: improving. Cash conversion has improved, which supports the quality of reported earnings.

• Capex / revenue: stable. Capital intensity has been stable.

Forecast assumptions and why

revenue growth start: 0.011 (low)

Revenue CAGR of 1.1%. The history is short enough that the recent window and the full period are the same span, so there is no longer-run rate to compare against and the forecast rests on fewer observations than it should.

revenue growth path: 0.011 (low)

Fades geometrically from 1.1% to 2.0% over 5 years: 1.1%, 1.4%, 1.7%, 1.9%, 2.0%. Holding growth flat and then dropping straight to the terminal rate would imply a cliff that no business experiences.

ebitda margin: 0.2115 (high)

Three-year average EBITDA margin of 21.1%, held flat. History says the margin is stable. A stable history makes the recent average the natural forecast level.

da pct revenue: 0.0277 (high)

Median D&A of 2.8% of revenue. D&A is forecast as a share of revenue rather than grown independently, so it stays tied to the asset base that revenue implies. The median avoids letting one impairment set the run rate.

tax rate: 0.2689 (high)

Median effective tax rate of 26.9%, bounded to [10%, 35%]. The effective rate is used because it is what the company actually pays. The floor exists because temporary credits and one-off settlements should not be projected into perpetuity.

capex pct revenue: 0.0481 (medium)

Median capex of 4.8% of revenue, where capital intensity is stable. Capex is the assumption most often set too low, because it is the easiest way to manufacture free cash flow.

capex pct revenue path: 0.0481 (medium)

Terminal-consistent capex of 3.4% of revenue: the level that reinvests 7% of NOPAT, the share needed to sustain 2.0% growth at a 29.6% return on invested capital. Capex fades from its historical share of revenue toward this figure over the forecast, in step with revenue growth fading toward its terminal rate, rather than staying at an investment-phase level while the growth it was funding tails off underneath it. Path: 4.8%, 4.3%, 3.9%, 3.6%, 3.4%.

nwc pct revenue: 0.1236 (medium)

Three-year average non-cash working capital of 12.4% of revenue, consistent with the full-period median of 13.6%. Holding the ratio constant means growth consumes cash in proportion to the revenue it adds. A negative ratio means suppliers and customers fund the business, so growth releases cash rather than consuming it.

terminal growth: 0.02 (medium)

Floored at 2.0% inflation. Recent growth of 1.1% would imply the company grows below inflation in perpetuity, which means shrinking in real terms forever and eventually to nothing. A few years of weak growth is evidence about the cycle, not about the next century, and treating a cyclical window as a structural rate is not conservatism but a different and much stronger claim. The floor is what stops the terminal value being set by whichever part of the cycle the last four years happened to fall in.

Resulting forecast drivers

Year	Rev growth	EBITDA margin	D&A / rev	Capex / rev	NWC / rev	Tax
2026E	1.1%	21.1%	2.8%	4.8%	12.4%	26.9%
2027E	1.4%	21.1%	2.8%	4.3%	12.4%	26.9%
2028E	1.7%	21.1%	2.8%	3.9%	12.4%	26.9%
2029E	1.9%	21.1%	2.8%	3.6%	12.4%	26.9%
2030E	2.0%	21.1%	2.8%	3.4%	12.4%	26.9%

Free cash flow to the firm

	2026E	2027E	2028E	2029E	2030E
EBIT	66,043	66,977	68,104	69,389	70,777
Tax on EBIT	-17,759	-18,010	-18,313	-18,659	-19,032
NOPAT	**48,284**	**48,967**	**49,791**	**50,730**	**51,745**
Depreciation and amortisation	9,953	10,094	10,264	10,457	10,667
Capital expenditure	-17,283	-15,764	-14,517	-13,602	-13,208
Change in working capital	-483	-628	-758	-864	-933
FCFF	**40,471**	**42,669**	**44,779**	**46,721**	**48,270**

Every figure is a cash impact, so a negative number is an outflow. Tax is charged on unlevered EBIT and interest is absent: the financing effect belongs in the discount rate, and counting it here as well would value the debt tax shield twice.

Data quality: only 4 years of history, which is thin for a trend-based forecast.

Titan Company (TITAN)

Consumer Discretionary | FY2022 to FY2025 | INR millions | assumption confidence: medium

FY	Revenue	EBITDA	EBIT	D&A	Capex	NWC	dNWC	Net debt	Growth	EBITDA %	Capex %
2022	404,470	51,880	47,470	4,410	4,320	137,380	n/a	64,680	n/a	12.8%	1.1%
2023	509,360	58,260	52,420	5,840	6,910	162,220	24,840	127,940	25.9%	11.4%	1.4%
2024	602,980	61,810	54,880	6,930	4,940	237,290	75,070	183,640	18.4%	10.3%	0.8%
2025	873,050	88,070	79,810	8,260	9,020	344,480	107,190	267,260	44.8%	10.1%	1.0%

What the history says

• Revenue compounded at 29.2% over 3 years, and at 29.2% over the last three.

• EBITDA compounded at 19.3%, against revenue at 29.2%: profit has grown more slowly than sales.

• Revenue growth: accelerating. Growth has accelerated. Acceleration is rarely permanent, so a forecast should fade it toward a sustainable rate rather than extend it.

• EBITDA margin: stable. EBITDA margin has been stable, so the recent average is a reasonable forecast level.

• EBIT margin: stable. EBIT margin has been stable, so the recent average is a reasonable forecast level.

• FCF margin: stable. Cash conversion has been stable.

• Capex / revenue: stable. Capital intensity has been stable.

Forecast assumptions and why

revenue growth start: 0.2712 (low)

Recent growth of 29.2% is exceptional. Half the excess above 25% is removed at the start, because sustaining that rate over a full horizon is the exception, and the fade then does the rest.

revenue growth path: 0.2712 (low)

Fades geometrically from 27.1% to 9.0% over 5 years: 27.1%, 20.8%, 15.4%, 11.3%, 9.0%. Holding growth flat and then dropping straight to the terminal rate would imply a cliff that no business experiences.

ebitda margin: 0.1059 (high)

Three-year average EBITDA margin of 10.6%, held flat. History says the margin is stable. A stable history makes the recent average the natural forecast level.

da pct revenue: 0.0112 (high)

Median D&A of 1.1% of revenue. D&A is forecast as a share of revenue rather than grown independently, so it stays tied to the asset base that revenue implies. The median avoids letting one impairment set the run rate.

tax rate: 0.2591 (high)

Median effective tax rate of 25.9%, bounded to [10%, 35%]. The effective rate is used because it is what the company actually pays. The floor exists because temporary credits and one-off settlements should not be projected into perpetuity.

capex pct revenue: 0.0105 (medium)

Median capex of 1.1% of revenue, where capital intensity is stable. Capex is the assumption most often set too low, because it is the easiest way to manufacture free cash flow.

capex pct revenue path: 0.0105 (medium)

Terminal-consistent capex of 1.8% of revenue: the level that reinvests 57% of NOPAT, the share needed to sustain 9.0% growth at a 15.7% return on invested capital. Capex fades from its historical share of revenue toward this figure over the forecast, in step with revenue growth fading toward its terminal rate, rather than staying at an investment-phase level while the growth it was funding tails off underneath it. Path: 1.1%, 1.3%, 1.5%, 1.7%, 1.8%.

nwc pct revenue: 0.3689 (medium)

Three-year average non-cash working capital of 36.9% of revenue, consistent with the full-period median of 36.7%. Holding the ratio constant means growth consumes cash in proportion to the revenue it adds. A negative ratio means suppliers and customers fund the business, so growth releases cash rather than consuming it.

terminal growth: 0.09 (medium)

Capped at long-run nominal GDP of 9.0%. No company can outgrow the economy in perpetuity, so this is a ceiling rather than a view.

Resulting forecast drivers

Year	Rev growth	EBITDA margin	D&A / rev	Capex / rev	NWC / rev	Tax
2026E	27.1%	10.6%	1.1%	1.1%	36.9%	25.9%
2027E	20.8%	10.6%	1.1%	1.3%	36.9%	25.9%
2028E	15.4%	10.6%	1.1%	1.5%	36.9%	25.9%
2029E	11.3%	10.6%	1.1%	1.7%	36.9%	25.9%
2030E	9.0%	10.6%	1.1%	1.8%	36.9%	25.9%

Free cash flow to the firm

	2026E	2027E	2028E	2029E	2030E
EBIT	105,100	126,928	146,483	162,984	177,653
Tax on EBIT	-27,231	-32,887	-37,954	-42,229	-46,030
NOPAT	**77,869**	**94,041**	**108,529**	**120,755**	**131,623**
Depreciation and amortisation	12,430	15,012	17,324	19,276	21,011
Capital expenditure	-11,653	-17,679	-23,914	-29,619	-34,086
Change in working capital	-87,345	-85,031	-76,174	-64,280	-57,141
FCFF	**-8,699**	**6,343**	**25,766**	**46,131**	**61,407**

Every figure is a cash impact, so a negative number is an outflow. Tax is charged on unlevered EBIT and interest is absent: the financing effect belongs in the discount rate, and counting it here as well would value the debt tax shield twice.

What to argue with

• Revenue 2.1x over 5 years. Check that the market is large enough to absorb a business of that size.

• Terminal capex (34,086) still runs 1.6x terminal D&A (21,011) even after fading toward the ROIC-consistent level. In perpetuity the two should converge, so terminal value from this base may still overstate the reinvestment the company can sustain.

• FCFF is negative in 2026, so the company consumes cash in those years.

Data quality: only 4 years of history, which is thin for a trend-based forecast.

Oil & Natural Gas Corp (ONGC)

Energy | FY2022 to FY2025 | INR millions | assumption confidence: medium

FY	Revenue	EBITDA	EBIT	D&A	Capex	NWC	dNWC	Net debt	Growth	EBITDA %	Capex %
2022	6,295,101	776,689	517,812	258,877	509,303	-228,442	n/a	1,331,873	n/a	12.3%	8.1%
2023	5,986,442	1,168,866	853,716	315,149	521,188	-141,165	87,277	1,454,905	-4.9%	19.5%	8.7%
2024	6,089,529	993,818	646,890	346,928	556,743	-73,053	68,112	1,885,390	1.7%	16.3%	9.1%
2025	6,052,765	1,156,084	783,459	372,625	539,905	-151,091	-78,038	1,379,070	-0.6%	19.1%	8.9%

What the history says

• Revenue compounded at -1.3% over 3 years, and at -1.3% over the last three.

• EBITDA compounded at 14.2%, against revenue at -1.3%: operating leverage is positive.

• Revenue growth: accelerating. Growth has accelerated. Acceleration is rarely permanent, so a forecast should fade it toward a sustainable rate rather than extend it.

• EBITDA margin: stable. EBITDA margin has been stable, so the recent average is a reasonable forecast level.

• EBIT margin: stable. EBIT margin has been stable, so the recent average is a reasonable forecast level.

• FCF margin: stable. Cash conversion has been stable.

• Capex / revenue: stable. Capital intensity has been stable.

Forecast assumptions and why

revenue growth start: -0.013 (low)

Revenue CAGR of -1.3%. The history is short enough that the recent window and the full period are the same span, so there is no longer-run rate to compare against and the forecast rests on fewer observations than it should.

revenue growth path: -0.013 (low)

Fades geometrically from -1.3% to 2.0% over 5 years: -1.3%, -0.1%, 0.8%, 1.6%, 2.0%. Holding growth flat and then dropping straight to the terminal rate would imply a cliff that no business experiences.

ebitda margin: 0.1832 (high)

Three-year average EBITDA margin of 18.3%, held flat. History says the margin is stable. A stable history makes the recent average the natural forecast level.

da pct revenue: 0.0548 (high)

Median D&A of 5.5% of revenue. D&A is forecast as a share of revenue rather than grown independently, so it stays tied to the asset base that revenue implies. The median avoids letting one impairment set the run rate.

tax rate: 0.2758 (high)

Median effective tax rate of 27.6%, bounded to [10%, 35%]. The effective rate is used because it is what the company actually pays. The floor exists because temporary credits and one-off settlements should not be projected into perpetuity.

capex pct revenue: 0.0881 (medium)

Median capex of 8.8% of revenue, where capital intensity is stable. Capex is the assumption most often set too low, because it is the easiest way to manufacture free cash flow.

capex pct revenue path: 0.0881 (medium)

Terminal-consistent capex of 7.4% of revenue: the level that reinvests 20% of NOPAT, the share needed to sustain 2.0% growth at a 10.1% return on invested capital. Capex fades from its historical share of revenue toward this figure over the forecast, in step with revenue growth fading toward its terminal rate, rather than staying at an investment-phase level while the growth it was funding tails off underneath it. Path: 8.8%, 8.3%, 7.9%, 7.5%, 7.4%.

nwc pct revenue: -0.0202 (medium)

Three-year average non-cash working capital of -2.0% of revenue, consistent with the full-period median of -2.4%. Holding the ratio constant means growth consumes cash in proportion to the revenue it adds. A negative ratio means suppliers and customers fund the business, so growth releases cash rather than consuming it.

terminal growth: 0.02 (medium)

Floored at 2.0% inflation. Recent growth of -1.3% would imply the company grows below inflation in perpetuity, which means shrinking in real terms forever and eventually to nothing. A few years of weak growth is evidence about the cycle, not about the next century, and treating a cyclical window as a structural rate is not conservatism but a different and much stronger claim. The floor is what stops the terminal value being set by whichever part of the cycle the last four years happened to fall in.

Resulting forecast drivers

Year	Rev growth	EBITDA margin	D&A / rev	Capex / rev	NWC / rev	Tax
2026E	-1.3%	18.3%	5.5%	8.8%	-2.0%	27.6%
2027E	-0.1%	18.3%	5.5%	8.3%	-2.0%	27.6%
2028E	0.8%	18.3%	5.5%	7.9%	-2.0%	27.6%
2029E	1.6%	18.3%	5.5%	7.5%	-2.0%	27.6%
2030E	2.0%	18.3%	5.5%	7.4%	-2.0%	27.6%

Free cash flow to the firm

	2026E	2027E	2028E	2029E	2030E
EBIT	767,072	765,975	772,355	784,620	800,313
Tax on EBIT	-211,558	-211,256	-213,016	-216,398	-220,726
NOPAT	**555,513**	**554,719**	**559,340**	**568,222**	**579,587**
Depreciation and amortisation	327,380	326,911	329,635	334,869	341,567
Capital expenditure	-526,316	-495,438	-473,940	-461,362	-459,370
Change in working capital	-1,589	-173	1,004	1,930	2,469
FCFF	**354,987**	**386,020**	**416,038**	**443,659**	**464,252**

Every figure is a cash impact, so a negative number is an outflow. Tax is charged on unlevered EBIT and interest is absent: the financing effect belongs in the discount rate, and counting it here as well would value the debt tax shield twice.

Data quality: only 4 years of history, which is thin for a trend-based forecast.

Reliance Industries (RELIANCE)

Energy | FY2022 to FY2025 | INR millions | assumption confidence: low

FY	Revenue	EBITDA	EBIT	D&A	Capex	NWC	dNWC	Net debt	Growth	EBITDA %	Capex %
2022	8,778,350	1,533,070	1,130,040	403,030	1,409,880	-8,900	n/a	1,731,590	n/a	17.5%	16.1%
2023	9,010,640	1,769,440	1,261,120	508,320	1,528,830	-366,670	-357,770	1,348,320	2.6%	19.6%	17.0%
2024	9,646,930	1,812,740	1,281,380	531,360	1,399,670	-826,280	-459,610	1,307,830	7.1%	18.8%	14.5%
2025	10,572,190	2,049,060	1,472,180	576,880	1,229,160	-1,205,470	-379,190	1,207,880	9.6%	19.4%	11.6%

What the history says

• Revenue compounded at 6.4% over 3 years, and at 6.4% over the last three.

• EBITDA compounded at 10.2%, against revenue at 6.4%: operating leverage is positive.

• Revenue growth: accelerating. Growth has accelerated. Acceleration is rarely permanent, so a forecast should fade it toward a sustainable rate rather than extend it.

• EBITDA margin: stable. EBITDA margin has been stable, so the recent average is a reasonable forecast level.

• EBIT margin: stable. EBIT margin has been stable, so the recent average is a reasonable forecast level.

• FCF margin: improving. Cash conversion has improved, which supports the quality of reported earnings.

• Capex / revenue: falling. Capital intensity is falling, which frees up cash at any given margin.

Forecast assumptions and why

revenue growth start: 0.0639 (low)

Revenue CAGR of 6.4%. The history is short enough that the recent window and the full period are the same span, so there is no longer-run rate to compare against and the forecast rests on fewer observations than it should.

revenue growth path: 0.0639 (low)

Held flat at 6.4% for all 5 years: 6.4%, 6.4%, 6.4%, 6.4%, 6.4%. There is nothing to fade, because current growth is already at or below the terminal rate the company can sustain.

ebitda margin: 0.1927 (high)

Three-year average EBITDA margin of 19.3%, held flat. History says the margin is stable. A stable history makes the recent average the natural forecast level.

da pct revenue: 0.0548 (high)

Median D&A of 5.5% of revenue. D&A is forecast as a share of revenue rather than grown independently, so it stays tied to the asset base that revenue implies. The median avoids letting one impairment set the run rate.

tax rate: 0.2601 (high)

Median effective tax rate of 26.0%, bounded to [10%, 35%]. The effective rate is used because it is what the company actually pays. The floor exists because temporary credits and one-off settlements should not be projected into perpetuity.

capex pct revenue: 0.1528 (low)

Median capex of 15.3% of revenue, where capital intensity is falling. Capex is the assumption most often set too low, because it is the easiest way to manufacture free cash flow.

capex pct revenue path: 0.1528 (low)

Terminal-consistent capex of 12.6% of revenue: the level that reinvests 65% of NOPAT, the share needed to sustain 6.4% growth at a 9.9% return on invested capital. Capex fades from its historical share of revenue toward this figure over the forecast, in step with revenue growth fading toward its terminal rate, rather than staying at an investment-phase level while the growth it was funding tails off underneath it. Path: 15.3%, 14.3%, 13.5%, 12.9%, 12.6%.

nwc pct revenue: -0.0801 (medium)

Three-year average non-cash working capital of -8.0% of revenue, consistent with the full-period median of -6.3%. Holding the ratio constant means growth consumes cash in proportion to the revenue it adds. A negative ratio means suppliers and customers fund the business, so growth releases cash rather than consuming it.

terminal growth: 0.0639 (medium)

Set to current growth of 6.4%, below the 9.0% GDP ceiling. The company is growing more slowly than the economy, and assuming it re-accelerates in perpetuity would push value into the terminal period on no evidence. Growth is therefore held flat rather than faded upward.

Resulting forecast drivers

Year	Rev growth	EBITDA margin	D&A / rev	Capex / rev	NWC / rev	Tax
2026E	6.4%	19.3%	5.5%	15.3%	-8.0%	26.0%
2027E	6.4%	19.3%	5.5%	14.3%	-8.0%	26.0%
2028E	6.4%	19.3%	5.5%	13.5%	-8.0%	26.0%
2029E	6.4%	19.3%	5.5%	12.9%	-8.0%	26.0%
2030E	6.4%	19.3%	5.5%	12.6%	-8.0%	26.0%

Free cash flow to the firm

	2026E	2027E	2028E	2029E	2030E
EBIT	1,551,065	1,650,178	1,755,625	1,867,809	1,987,162
Tax on EBIT	-403,432	-429,211	-456,638	-485,817	-516,861
NOPAT	**1,147,633**	**1,220,967**	**1,298,987**	**1,381,992**	**1,470,301**
Depreciation and amortisation	616,377	655,763	697,667	742,248	789,677
Capital expenditure	-1,718,657	-1,715,396	-1,723,287	-1,749,970	-1,813,087
Change in working capital	54,113	57,570	61,249	65,163	69,327
FCFF	**99,466**	**218,905**	**334,615**	**439,432**	**516,218**

Every figure is a cash impact, so a negative number is an outflow. Tax is charged on unlevered EBIT and interest is absent: the financing effect belongs in the discount rate, and counting it here as well would value the debt tax shield twice.

What to argue with

- Terminal capex (1,813,087) still runs 2.3x terminal D&A (789,677) even after fading toward the ROIC-consistent level. In perpetuity the two should converge, so terminal value from this base may still overstate the reinvestment the company can sustain.
- Reinvestment averages 130% of NOPAT, so the company is investing more than it earns after tax and is funding growth externally.

Data quality: only 4 years of history, which is thin for a trend-based forecast.

Britannia Industries (BRITANNIA)

FMCG | FY2022 to FY2025 | INR millions | assumption confidence: low

FY	Revenue	EBITDA	EBIT	D&A	Capex	NWC	dNWC	Net debt	Growth	EBITDA %	Capex %
2022	159,849	34,244	31,985	2,259	7,115	1,029	n/a	10,598	n/a	21.4%	4.5%
2023	165,462	33,761	30,756	3,005	5,529	-1,864	-2,893	-222	3.5%	20.4%	3.3%
2024	175,350	33,761	30,628	3,133	3,748	-5,524	-3,660	-1,132	6.0%	19.3%	2.1%
2025	188,582	37,354	33,985	3,368	2,056	-3,622	1,902	-5,513	7.5%	19.8%	1.1%

What the history says

• Revenue compounded at 5.7% over 3 years, and at 5.7% over the last three.

• EBITDA compounded at 2.9%, against revenue at 5.7%: profit has grown more slowly than sales.

• Revenue growth: accelerating. Growth has accelerated. Acceleration is rarely permanent, so a forecast should fade it toward a sustainable rate rather than extend it.

• EBITDA margin: stable. EBITDA margin has been stable, so the recent average is a reasonable forecast level.

• EBIT margin: stable. EBIT margin has been stable, so the recent average is a reasonable forecast level.

• FCF margin: stable. Cash conversion has been stable.

• Capex / revenue: falling. Capital intensity is falling, which frees up cash at any given margin.

Forecast assumptions and why

revenue growth start: 0.0566 (low)

Revenue CAGR of 5.7%. The history is short enough that the recent window and the full period are the same span, so there is no longer-run rate to compare against and the forecast rests on fewer observations than it should.

revenue growth path: 0.0566 (low)

Held flat at 5.7% for all 5 years: 5.7%, 5.7%, 5.7%, 5.7%, 5.7%. There is nothing to fade, because current growth is already at or below the terminal rate the company can sustain.

ebitda margin: 0.1982 (high)

Three-year average EBITDA margin of 19.8%, held flat. History says the margin is stable. A stable history makes the recent average the natural forecast level.

da pct revenue: 0.0179 (high)

Median D&A of 1.8% of revenue. D&A is forecast as a share of revenue rather than grown independently, so it stays tied to the asset base that revenue implies. The median avoids letting one impairment set the run rate.

tax rate: 0.2458 (high)

Median effective tax rate of 24.6%, bounded to [10%, 35%]. The effective rate is used because it is what the company actually pays. The floor exists because temporary credits and one-off settlements should not be projected into perpetuity.

capex pct revenue: 0.0274 (low)

Median capex of 2.7% of revenue, where capital intensity is falling. Capex is the assumption most often set too low, because it is the easiest way to manufacture free cash flow.

capex pct revenue path: 0.0274 (low)

Terminal-consistent capex of 3.3% of revenue: the level that reinvests 10% of NOPAT, the share needed to sustain 5.7% growth at a 55.4% return on invested capital. Capex fades from its historical share of revenue toward this figure over the forecast, in step with revenue growth fading toward its terminal rate, rather than staying at an investment-phase level while the growth it was funding tails off underneath it. Path: 2.7%, 2.9%, 3.1%, 3.2%, 3.3%.

nwc pct revenue: -0.0207 (medium)

Three-year average non-cash working capital of -2.1% of revenue, consistent with the full-period median of -1.5%. Holding the ratio constant means growth consumes cash in proportion to the revenue it adds. A negative ratio means suppliers and customers fund the business, so growth releases cash rather than consuming it.

terminal growth: 0.0566 (medium)

Set to current growth of 5.7%, below the 9.0% GDP ceiling. The company is growing more slowly than the economy, and assuming it re-accelerates in perpetuity would push value into the terminal period on no evidence. Growth is therefore held flat rather than faded upward.

Resulting forecast drivers

Year	Rev growth	EBITDA margin	D&A / rev	Capex / rev	NWC / rev	Tax
2026E	5.7%	19.8%	1.8%	2.7%	-2.1%	24.6%
2027E	5.7%	19.8%	1.8%	2.9%	-2.1%	24.6%
2028E	5.7%	19.8%	1.8%	3.1%	-2.1%	24.6%
2029E	5.7%	19.8%	1.8%	3.2%	-2.1%	24.6%
2030E	5.7%	19.8%	1.8%	3.3%	-2.1%	24.6%

Free cash flow to the firm

	2026E	2027E	2028E	2029E	2030E
EBIT	35,926	37,959	40,108	42,378	44,776
Tax on EBIT	-8,831	-9,330	-9,858	-10,416	-11,006
NOPAT	**27,095**	**28,629**	**30,249**	**31,961**	**33,770**
Depreciation and amortisation	3,567	3,769	3,982	4,207	4,445
Capital expenditure	-5,460	-6,179	-6,896	-7,587	-8,188
Change in working capital	221	233	247	261	275
FCFF	**25,423**	**26,452**	**27,582**	**28,842**	**30,303**

Every figure is a cash impact, so a negative number is an outflow. Tax is charged on unlevered EBIT and interest is absent: the financing effect belongs in the discount rate, and counting it here as well would value the debt tax shield twice.

What to argue with

• Terminal capex (8,188) still runs 1.8x terminal D&A (4,445) even after fading toward the ROIC-consistent level. In perpetuity the two should converge, so terminal value from this base may still overstate the reinvestment the company can sustain.

Data quality: only 4 years of history, which is thin for a trend-based forecast.

Dabur India (DABUR)

FMCG | FY2022 to FY2025 | INR millions | assumption confidence: medium

FY	Revenue	EBITDA	EBIT	D&A	Capex	NWC	dNWC	Net debt	Growth	EBITDA %	Capex %
2022	114,265	25,988	22,878	3,110	5,091	2,881	n/a	1,221	n/a	22.7%	4.5%
2023	122,616	28,681	24,689	3,992	5,639	482	-2,399	-9,580	7.3%	23.4%	4.6%
2024	124,000	28,504	24,048	4,456	5,695	-154	-636	-17,055	1.1%	23.0%	4.6%
2025	130,420	30,148	25,459	4,689	4,201	-4,542	-4,388	-38,605	5.2%	23.1%	3.2%

What the history says

• Revenue compounded at 4.5% over 3 years, and at 4.5% over the last three.

• EBITDA compounded at 5.1%, against revenue at 4.5%: operating leverage is positive.

• Revenue growth: decelerating. Growth has decelerated. The forecast should continue fading rather than assume a recovery the history does not support.

• EBITDA margin: stable. EBITDA margin has been stable, so the recent average is a reasonable forecast level.

• EBIT margin: stable. EBIT margin has been stable, so the recent average is a reasonable forecast level.

• FCF margin: improving. Cash conversion has improved, which supports the quality of reported earnings.

• Capex / revenue: stable. Capital intensity has been stable.

Forecast assumptions and why

revenue growth start: 0.0451 (low)

Revenue CAGR of 4.5%. The history is short enough that the recent window and the full period are the same span, so there is no longer-run rate to compare against and the forecast rests on fewer observations than it should.

revenue growth path: 0.0451 (low)

Held flat at 4.5% for all 5 years: 4.5%, 4.5%, 4.5%, 4.5%, 4.5%. There is nothing to fade, because current growth is already at or below the terminal rate the company can sustain.

ebitda margin: 0.2316 (high)

Three-year average EBITDA margin of 23.2%, held flat. History says the margin is stable. A stable history makes the recent average the natural forecast level.

da pct revenue: 0.0342 (high)

Median D&A of 3.4% of revenue. D&A is forecast as a share of revenue rather than grown independently, so it stays tied to the asset base that revenue implies. The median avoids letting one impairment set the run rate.

tax rate: 0.2277 (high)

Median effective tax rate of 22.8%, bounded to [10%, 35%]. The effective rate is used because it is what the company actually pays. The floor exists because temporary credits and one-off settlements should not be projected into perpetuity.

capex pct revenue: 0.0452 (medium)

Median capex of 4.5% of revenue, where capital intensity is stable. Capex is the assumption most often set too low, because it is the easiest way to manufacture free cash flow.

capex pct revenue path: 0.0452 (medium)

Terminal-consistent capex of 6.8% of revenue: the level that reinvests 22% of NOPAT, the share needed to sustain 4.5% growth at a 20.9% return on invested capital. Capex fades from its historical share of revenue toward this figure over the forecast, in step with revenue growth fading toward its terminal rate, rather than staying at an investment-phase level while the growth it was funding tails off underneath it. Path: 4.5%, 5.3%, 6.0%, 6.5%, 6.8%.

nwc pct revenue: -0.0107 (medium)

Three-year average non-cash working capital of -1.1% of revenue, consistent with the full-period median of 0.1%. Holding the ratio constant means growth consumes cash in proportion to the revenue it adds. A negative ratio means suppliers and customers fund the business, so growth releases cash rather than consuming it.

terminal growth: 0.0451 (medium)

Set to current growth of 4.5%, below the 5.6% GDP ceiling. The company is growing more slowly than the economy, and assuming it re-accelerates in perpetuity would push value into the terminal period on no evidence. Growth is therefore held flat rather than faded upward.

Resulting forecast drivers

Year	Rev growth	EBITDA margin	D&A / rev	Capex / rev	NWC / rev	Tax
2026E	4.5%	23.2%	3.4%	4.5%	-1.1%	22.8%
2027E	4.5%	23.2%	3.4%	5.3%	-1.1%	22.8%
2028E	4.5%	23.2%	3.4%	6.0%	-1.1%	22.8%
2029E	4.5%	23.2%	3.4%	6.5%	-1.1%	22.8%
2030E	4.5%	23.2%	3.4%	6.8%	-1.1%	22.8%

Free cash flow to the firm

	2026E	2027E	2028E	2029E	2030E
EBIT	26,906	28,119	29,388	30,713	32,098
Tax on EBIT	-6,126	-6,403	-6,692	-6,993	-7,309
NOPAT	**20,780**	**21,717**	**22,696**	**23,720**	**24,789**
Depreciation and amortisation	4,662	4,872	5,091	5,321	5,561
Capital expenditure	-6,161	-7,556	-8,882	-10,077	-10,986
Change in working capital	63	66	69	72	75
FCFF	**19,343**	**19,099**	**18,975**	**19,035**	**19,440**

Every figure is a cash impact, so a negative number is an outflow. Tax is charged on unlevered EBIT and interest is absent: the financing effect belongs in the discount rate, and counting it here as well would value the debt tax shield twice.

What to argue with

• Terminal capex (10,986) still runs 2.0x terminal D&A (5,561) even after fading toward the ROIC-consistent level. In perpetuity the two should converge, so terminal value from this base may still overstate the reinvestment the company can sustain.

Data quality: only 4 years of history, which is thin for a trend-based forecast.

Hindustan Unilever (HINDUNILVR)

FMCG | FY2022 to FY2025 | INR millions | assumption confidence: medium

FY	Revenue	EBITDA	EBIT	D&A	Capex	NWC	dNWC	Net debt	Growth	EBITDA %	Capex %
2022	595,490	146,100	134,580	11,520	11,920	-29,750	n/a	-68,240	n/a	24.5%	2.0%
2023	609,660	154,760	142,600	12,160	14,770	-44,190	-14,440	-113,930	2.4%	25.4%	2.4%
2024	605,730	161,720	148,090	13,630	12,750	-64,910	-20,720	-103,580	-0.6%	26.7%	2.1%
2025	637,630	156,580	142,220	14,360	13,610	-49,370	15,540	-69,310	5.3%	24.6%	2.1%

What the history says

• Revenue compounded at 2.3% over 3 years, and at 2.3% over the last three.

• EBITDA compounded at 2.3%, against revenue at 2.3%: operating leverage is positive.

• Revenue growth: stable. Growth has been broadly stable, which makes a modest fade the neutral base case.

• EBITDA margin: stable. EBITDA margin has been stable, so the recent average is a reasonable forecast level.

• EBIT margin: stable. EBIT margin has been stable, so the recent average is a reasonable forecast level.

• FCF margin: deteriorating. Cash conversion has deteriorated. Earnings are turning into cash less reliably, which is a warning worth carrying into the forecast.

• Capex / revenue: stable. Capital intensity has been stable.

Forecast assumptions and why

revenue growth start: 0.0231 (low)

Revenue CAGR of 2.3%. The history is short enough that the recent window and the full period are the same span, so there is no longer-run rate to compare against and the forecast rests on fewer observations than it should.

revenue growth path: 0.0231 (low)

Held flat at 2.3% for all 5 years: 2.3%, 2.3%, 2.3%, 2.3%, 2.3%. There is nothing to fade, because current growth is already at or below the terminal rate the company can sustain.

ebitda margin: 0.2555 (high)

Three-year average EBITDA margin of 25.5%, held flat. History says the margin is stable. A stable history makes the recent average the natural forecast level.

da pct revenue: 0.0212 (high)

Median D&A of 2.1% of revenue. D&A is forecast as a share of revenue rather than grown independently, so it stays tied to the asset base that revenue implies. The median avoids letting one impairment set the run rate.

tax rate: 0.2503 (high)

Median effective tax rate of 25.0%, bounded to [10%, 35%]. The effective rate is used because it is what the company actually pays. The floor exists because temporary credits and one-off settlements should not be projected into perpetuity.

capex pct revenue: 0.0212 (medium)

Median capex of 2.1% of revenue, where capital intensity is stable. Capex is the assumption most often set too low, because it is the easiest way to manufacture free cash flow.

capex pct revenue path: 0.0212 (medium)

Terminal-consistent capex of 3.9% of revenue: the level that reinvests 9% of NOPAT, the share needed to sustain 2.3% growth at a 26.2% return on invested capital. Capex fades from its historical share of revenue toward this figure over the forecast, in step with revenue growth fading toward its terminal rate, rather than staying at an investment-phase level while the growth it was funding tails off underneath it. Path: 2.1%, 2.7%, 3.2%, 3.6%, 3.9%.

nwc pct revenue: -0.0857 (medium)

Three-year average non-cash working capital of -8.6% of revenue, consistent with the full-period median of -7.5%. Holding the ratio constant means growth consumes cash in proportion to the revenue it adds. A negative ratio means suppliers and customers fund the business, so growth releases cash rather than consuming it.

terminal growth: 0.0231 (medium)

Set to current growth of 2.3%, below the 9.0% GDP ceiling. The company is growing more slowly than the economy, and assuming it re-accelerates in perpetuity would push value into the terminal period on no evidence. Growth is therefore held flat rather than faded upward.

Resulting forecast drivers

Year	Rev growth	EBITDA margin	D&A / rev	Capex / rev	NWC / rev	Tax
2026E	2.3%	25.6%	2.1%	2.1%	-8.6%	25.0%
2027E	2.3%	25.6%	2.1%	2.7%	-8.6%	25.0%
2028E	2.3%	25.6%	2.1%	3.2%	-8.6%	25.0%
2029E	2.3%	25.6%	2.1%	3.6%	-8.6%	25.0%
2030E	2.3%	25.6%	2.1%	3.9%	-8.6%	25.0%

Free cash flow to the firm

	2026E	2027E	2028E	2029E	2030E
EBIT	152,848	156,379	159,991	163,687	167,468
Tax on EBIT	-38,258	-39,142	-40,046	-40,971	-41,917
NOPAT	**114,590**	**117,237**	**119,945**	**122,716**	**125,551**
Depreciation and amortisation	13,830	14,149	14,476	14,811	15,153
Capital expenditure	-13,830	-18,241	-22,193	-25,500	-27,647
Change in working capital	1,262	1,291	1,321	1,352	1,383
FCFF	**115,852**	**114,437**	**113,550**	**113,379**	**114,440**

Every figure is a cash impact, so a negative number is an outflow. Tax is charged on unlevered EBIT and interest is absent: the financing effect belongs in the discount rate, and counting it here as well would value the debt tax shield twice.

What to argue with

• Terminal capex (27,647) still runs 1.8x terminal D&A (15,153) even after fading toward the ROIC-consistent level. In perpetuity the two should converge, so terminal value from this base may still overstate the reinvestment the company can sustain.

Data quality: only 4 years of history, which is thin for a trend-based forecast.

ITC (ITC)

FMCG | FY2022 to FY2025 | INR millions | assumption confidence: low

FY	Revenue	EBITDA	EBIT	D&A	Capex	NWC	dNWC	Net debt	Growth	EBITDA %	Capex %
2022	702,452	277,673	259,583	18,090	27,430	40,935	n/a	-215,673	n/a	39.5%	3.9%
2023	673,910	282,558	264,394	18,164	35,625	74,918	33,983	-195,894	-4.1%	41.9%	5.3%
2024	746,533	289,226	269,720	19,506	22,787	96,157	21,239	-197,502	10.8%	38.7%	3.1%
2025	782,133	298,291	281,186	17,105	21,829	126,569	30,412	-210,914	4.8%	38.1%	2.8%

What the history says

• Revenue compounded at 3.6% over 3 years, and at 3.6% over the last three.

• EBITDA compounded at 2.4%, against revenue at 3.6%: profit has grown more slowly than sales.

• Revenue growth: accelerating. Growth has accelerated. Acceleration is rarely permanent, so a forecast should fade it toward a sustainable rate rather than extend it.

• EBITDA margin: compressing. EBITDA margin has compressed by 2.3%, which is a direct drag on value and should not be assumed away in the base case.

• EBIT margin: compressing. EBIT margin has compressed by 2.1%, which is a direct drag on value and should not be assumed away in the base case.

• FCF margin: stable. Cash conversion has been stable.

• Capex / revenue: falling. Capital intensity is falling, which frees up cash at any given margin.

Forecast assumptions and why

revenue growth start: 0.0365 (low)

Revenue CAGR of 3.6%. The history is short enough that the recent window and the full period are the same span, so there is no longer-run rate to compare against and the forecast rests on fewer observations than it should.

revenue growth path: 0.0365 (low)

Held flat at 3.6% for all 5 years: 3.6%, 3.6%, 3.6%, 3.6%, 3.6%. There is nothing to fade, because current growth is already at or below the terminal rate the company can sustain.

ebitda margin: 0.396 (medium)

Three-year average EBITDA margin of 39.6%, held flat. History says the margin is compressing. It has been compressing. Holding it flat is already generous relative to the trend; the bear case carries the compression through.

da pct revenue: 0.0259 (high)

Median D&A of 2.6% of revenue. D&A is forecast as a share of revenue rather than grown independently, so it stays tied to the asset base that revenue implies. The median avoids letting one impairment set the run rate.

tax rate: 0.242 (high)

Median effective tax rate of 24.2%, bounded to [10%, 35%]. The effective rate is used because it is what the company actually pays. The floor exists because temporary credits and one-off settlements should not be projected into perpetuity.

capex pct revenue: 0.0348 (low)

Median capex of 3.5% of revenue, where capital intensity is falling. Capex is the assumption most often set too low, because it is the easiest way to manufacture free cash flow.

capex pct revenue path: 0.0348 (low)

Terminal-consistent capex of 4.6% of revenue: the level that reinvests 9% of NOPAT, the share needed to sustain 3.6% growth at a 41.0% return on invested capital. Capex fades from its historical share of revenue toward this figure over the forecast, in step with revenue growth fading toward its terminal rate, rather than staying at an investment-phase level while the growth it was funding tails off underneath it. Path: 3.5%, 3.9%, 4.2%, 4.5%, 4.6%.

nwc pct revenue: 0.1339 (medium)

Three-year average non-cash working capital of 13.4% of revenue, consistent with the full-period median of 12.0%. Holding the ratio constant means growth consumes cash in proportion to the revenue it adds. A negative ratio means suppliers and customers fund the business, so growth releases cash rather than consuming it.

terminal growth: 0.0365 (medium)

Set to current growth of 3.6%, below the 9.0% GDP ceiling. The company is growing more slowly than the economy, and assuming it re-accelerates in perpetuity would push value into the terminal period on no evidence. Growth is therefore held flat rather than faded upward.

Resulting forecast drivers

Year	Rev growth	EBITDA margin	D&A / rev	Capex / rev	NWC / rev	Tax
2026E	3.6%	39.6%	2.6%	3.5%	13.4%	24.2%
2027E	3.6%	39.6%	2.6%	3.9%	13.4%	24.2%
2028E	3.6%	39.6%	2.6%	4.2%	13.4%	24.2%
2029E	3.6%	39.6%	2.6%	4.5%	13.4%	24.2%
2030E	3.6%	39.6%	2.6%	4.6%	13.4%	24.2%

Free cash flow to the firm

	2026E	2027E	2028E	2029E	2030E
EBIT	300,033	310,984	322,335	334,100	346,295
Tax on EBIT	-72,608	-75,258	-78,005	-80,852	-83,803
NOPAT	**227,425**	**235,726**	**244,330**	**253,248**	**262,492**
Depreciation and amortisation	20,997	21,763	22,557	23,381	24,234
Capital expenditure	-28,212	-32,535	-36,606	-40,253	-43,023
Change in working capital	-3,823	-3,962	-4,107	-4,257	-4,412
FCFF	**216,387**	**220,992**	**226,175**	**232,119**	**239,291**

Every figure is a cash impact, so a negative number is an outflow. Tax is charged on unlevered EBIT and interest is absent: the financing effect belongs in the discount rate, and counting it here as well would value the debt tax shield twice.

What to argue with

• Terminal capex (43,023) still runs 1.8x terminal D&A (24,234) even after fading toward the ROIC-consistent level. In perpetuity the two should converge, so terminal value from this base may still overstate the reinvestment the company can sustain.

Data quality: only 4 years of history, which is thin for a trend-based forecast.

HCL Technologies (HCLTECH)

IT Services | FY2022 to FY2025 | INR millions | assumption confidence: medium

FY	Revenue	EBITDA	EBIT	D&A	Capex	NWC	dNWC	Net debt	Growth	EBITDA %	Capex %
2022	1,014,560	239,860	198,410	41,450	16,610	121,020	n/a	-153,980	n/a	23.6%	1.6%
2023	1,099,130	256,930	215,200	41,730	10,480	94,540	-26,480	-214,990	8.3%	23.4%	1.0%
2024	1,170,550	279,890	239,050	40,840	11,080	72,740	-21,800	-227,410	6.5%	23.9%	0.9%
2025	1,301,440	273,260	229,710	43,550	14,220	82,230	9,490	-254,000	11.2%	21.0%	1.1%

What the history says

- Revenue compounded at 8.7% over 3 years, and at 8.7% over the last three.
- EBITDA compounded at 4.4%, against revenue at 8.7%: profit has grown more slowly than sales.
- Revenue growth: stable. Growth has been broadly stable, which makes a modest fade the neutral base case.
- EBITDA margin: stable. EBITDA margin has been stable, so the recent average is a reasonable forecast level.
- EBIT margin: stable. EBIT margin has been stable, so the recent average is a reasonable forecast level.
- FCF margin: stable. Cash conversion has been stable.
- Capex / revenue: stable. Capital intensity has been stable.

Forecast assumptions and why

revenue growth start: 0.0865 (low)

Revenue CAGR of 8.7%. The history is short enough that the recent window and the full period are the same span, so there is no longer-run rate to compare against and the forecast rests on fewer observations than it should.

revenue growth path: 0.0865 (low)

Held flat at 8.6% for all 5 years: 8.6%, 8.6%, 8.6%, 8.6%, 8.6%. There is nothing to fade, because current growth is already at or below the terminal rate the company can sustain.

ebitda margin: 0.2276 (high)

Three-year average EBITDA margin of 22.8%, held flat. History says the margin is stable. A stable history makes the recent average the natural forecast level.

da pct revenue: 0.0364 (high)

Median D&A of 3.6% of revenue. D&A is forecast as a share of revenue rather than grown independently, so it stays tied to the asset base that revenue implies. The median avoids letting one impairment set the run rate.

tax rate: 0.2488 (high)

Median effective tax rate of 24.9%, bounded to [10%, 35%]. The effective rate is used because it is what the company actually pays. The floor exists because temporary credits and one-off settlements should not be projected into perpetuity.

capex pct revenue: 0.0102 (medium)

Median capex of 1.0% of revenue, where capital intensity is stable. Capex is the assumption most often set too low, because it is the easiest way to manufacture free cash flow.

capex pct revenue path: 0.0102 (medium)

Terminal-consistent capex of 6.6% of revenue: the level that reinvests 25% of NOPAT, the share needed to sustain 8.6% growth at a 34.6% return on invested capital. Capex fades from its historical share of revenue toward this figure over the forecast, in step with revenue growth fading toward its terminal rate, rather than staying at an investment-phase level while the growth it was funding tails off underneath it. Path: 1.0%, 3.0%, 4.6%, 5.9%, 6.6%.

nwc pct revenue: 0.0704 (medium)

Three-year average non-cash working capital of 7.0% of revenue, consistent with the full-period median of 7.5%. Holding the ratio constant means growth consumes cash in proportion to the revenue it adds. A negative ratio means suppliers and customers fund the business, so growth releases cash rather than consuming it.

terminal growth: 0.0865 (medium)

Set to current growth of 8.6%, below the 9.0% GDP ceiling. The company is growing more slowly than the economy, and assuming it re-accelerates in perpetuity would push value into the terminal period on no evidence. Growth is therefore held flat rather than faded upward.

Resulting forecast drivers

Year	Rev growth	EBITDA margin	D&A / rev	Capex / rev	NWC / rev	Tax
2026E	8.6%	22.8%	3.6%	1.0%	7.0%	24.9%
2027E	8.6%	22.8%	3.6%	3.0%	7.0%	24.9%
2028E	8.6%	22.8%	3.6%	4.6%	7.0%	24.9%
2029E	8.6%	22.8%	3.6%	5.9%	7.0%	24.9%
2030E	8.6%	22.8%	3.6%	6.6%	7.0%	24.9%

Free cash flow to the firm

	2026E	2027E	2028E	2029E	2030E
EBIT	270,360	293,746	319,155	346,762	376,756
Tax on EBIT	-67,265	-73,084	-79,406	-86,274	-93,737
NOPAT	**203,094**	**220,662**	**239,749**	**260,487**	**283,019**
Depreciation and amortisation	51,470	55,922	60,760	66,015	71,726
Capital expenditure	-14,423	-45,813	-77,452	-107,347	-130,426
Change in working capital	-7,925	-8,611	-9,356	-10,165	-11,044
FCFF	**232,216**	**222,160**	**213,701**	**208,990**	**213,275**

Every figure is a cash impact, so a negative number is an outflow. Tax is charged on unlevered EBIT and interest is absent: the financing effect belongs in the discount rate, and counting it here as well would value the debt tax shield twice.

What to argue with

• Terminal capex (130,426) still runs 1.8x terminal D&A (71,726) even after fading toward the ROIC-consistent level. In perpetuity the two should converge, so terminal value from this base may still overstate the reinvestment the company can sustain.

Data quality: only 4 years of history, which is thin for a trend-based forecast.

Infosys (INFY)

IT Services | FY2022 to FY2025 | INR millions | assumption confidence: medium

FY	Revenue	EBITDA	EBIT	D&A	Capex	NWC	dNWC	Net debt	Growth	EBITDA %	Capex %
2022	1,737,971	446,994	396,989	50,005	30,442	157,364	n/a	-128,735	n/a	25.7%	1.8%
2023	1,771,372	474,001	420,083	53,918	25,384	282,282	124,918	-223,879	1.9%	26.8%	1.4%
2024	1,839,604	483,353	429,053	54,300	25,098	202,789	-79,493	-338,490	3.9%	26.3%	1.4%
2025	1,923,678	487,170	434,493	52,677	29,202	188,665	-14,124	-265,773	4.6%	25.3%	1.5%

What the history says

• Revenue compounded at 3.4% over 3 years, and at 3.4% over the last three.

• EBITDA compounded at 2.9%, against revenue at 3.4%: profit has grown more slowly than sales.

• Revenue growth: stable. Growth has been broadly stable, which makes a modest fade the neutral base case.

• EBITDA margin: stable. EBITDA margin has been stable, so the recent average is a reasonable forecast level.

• EBIT margin: stable. EBIT margin has been stable, so the recent average is a reasonable forecast level.

• FCF margin: improving. Cash conversion has improved, which supports the quality of reported earnings.

• Capex / revenue: stable. Capital intensity has been stable.

Forecast assumptions and why

revenue growth start: 0.0344 (low)

Revenue CAGR of 3.4%. The history is short enough that the recent window and the full period are the same span, so there is no longer-run rate to compare against and the forecast rests on fewer observations than it should.

revenue growth path: 0.0344 (low)

Held flat at 3.4% for all 5 years: 3.4%, 3.4%, 3.4%, 3.4%, 3.4%. There is nothing to fade, because current growth is already at or below the terminal rate the company can sustain.

ebitda margin: 0.2612 (high)

Three-year average EBITDA margin of 26.1%, held flat. History says the margin is stable. A stable history makes the recent average the natural forecast level.

da pct revenue: 0.0291 (high)

Median D&A of 2.9% of revenue. D&A is forecast as a share of revenue rather than grown independently, so it stays tied to the asset base that revenue implies. The median avoids letting one impairment set the run rate.

tax rate: 0.274 (high)

Median effective tax rate of 27.4%, bounded to [10%, 35%]. The effective rate is used because it is what the company actually pays. The floor exists because temporary credits and one-off settlements should not be projected into perpetuity.

capex pct revenue: 0.0148 (medium)

Median capex of 1.5% of revenue, where capital intensity is stable. Capex is the assumption most often set too low, because it is the easiest way to manufacture free cash flow.

capex pct revenue path: 0.0148 (medium)

Terminal-consistent capex of 3.9% of revenue: the level that reinvests 8% of NOPAT, the share needed to sustain 3.4% growth at a 40.8% return on invested capital. Capex fades from its historical share of revenue toward this figure over the forecast, in step with revenue growth fading toward its terminal rate, rather than staying at an investment-phase level while the growth it was funding tails off underneath it. Path: 1.5%, 2.3%, 3.1%, 3.6%, 3.9%.

nwc pct revenue: 0.1226 (medium)

Three-year average non-cash working capital of 12.3% of revenue, consistent with the full-period median of 10.4%. Holding the ratio constant means growth consumes cash in proportion to the revenue it adds. A negative ratio means suppliers and customers fund the business, so growth releases cash rather than consuming it.

terminal growth: 0.0344 (medium)

Set to current growth of 3.4%, below the 9.0% GDP ceiling. The company is growing more slowly than the economy, and assuming it re-accelerates in perpetuity would push value into the terminal period on no evidence. Growth is therefore held flat rather than faded upward.

Resulting forecast drivers

Year	Rev growth	EBITDA margin	D&A / rev	Capex / rev	NWC / rev	Tax
2026E	3.4%	26.1%	2.9%	1.5%	12.3%	27.4%
2027E	3.4%	26.1%	2.9%	2.3%	12.3%	27.4%
2028E	3.4%	26.1%	2.9%	3.1%	12.3%	27.4%
2029E	3.4%	26.1%	2.9%	3.6%	12.3%	27.4%
2030E	3.4%	26.1%	2.9%	3.9%	12.3%	27.4%

Free cash flow to the firm

	2026E	2027E	2028E	2029E	2030E
EBIT	461,845	477,732	494,166	511,166	528,750
Tax on EBIT	-126,545	-130,899	-135,402	-140,059	-144,877
NOPAT	**335,299**	**346,834**	**358,765**	**371,106**	**383,872**
Depreciation and amortisation	57,905	59,897	61,957	64,088	66,293
Capital expenditure	-29,450	-48,000	-64,959	-79,417	-89,074
Change in working capital	-8,113	-8,392	-8,681	-8,979	-9,288
FCFF	**355,641**	**350,339**	**347,082**	**346,798**	**351,803**

Every figure is a cash impact, so a negative number is an outflow. Tax is charged on unlevered EBIT and interest is absent: the financing effect belongs in the discount rate, and counting it here as well would value the debt tax shield twice.

Data quality: only 4 years of history, which is thin for a trend-based forecast.

Tata Consultancy Services (TCS)

IT Services | FY2022 to FY2025 | INR millions | assumption confidence: medium

FY	Revenue	EBITDA	EBIT	D&A	Capex	NWC	dNWC	Net debt	Growth	EBITDA %	Capex %
2022	2,254,580	627,080	576,860	50,220	31,000	230,740	n/a	-374,350	n/a	27.8%	1.4%
2023	2,408,930	677,600	627,750	49,850	26,740	244,810	14,070	-358,830	6.8%	28.1%	1.1%
2024	2,553,240	713,690	661,270	52,420	39,370	298,310	53,500	-323,410	6.0%	28.0%	1.5%
2025	2,670,210	722,740	667,140	55,600	41,460	352,480	54,170	-300,900	4.6%	27.1%	1.6%

What the history says

• Revenue compounded at 5.8% over 3 years, and at 5.8% over the last three.

• EBITDA compounded at 4.8%, against revenue at 5.8%: profit has grown more slowly than sales.

• Revenue growth: stable. Growth has been broadly stable, which makes a modest fade the neutral base case.

• EBITDA margin: stable. EBITDA margin has been stable, so the recent average is a reasonable forecast level.

• EBIT margin: stable. EBIT margin has been stable, so the recent average is a reasonable forecast level.

• FCF margin: stable. Cash conversion has been stable.

• Capex / revenue: stable. Capital intensity has been stable.

Forecast assumptions and why

revenue growth start: 0.058 (low)

Revenue CAGR of 5.8%. The history is short enough that the recent window and the full period are the same span, so there is no longer-run rate to compare against and the forecast rests on fewer observations than it should.

revenue growth path: 0.058 (low)

Held flat at 5.8% for all 5 years: 5.8%, 5.8%, 5.8%, 5.8%, 5.8%. There is nothing to fade, because current growth is already at or below the terminal rate the company can sustain.

ebitda margin: 0.2772 (high)

Three-year average EBITDA margin of 27.7%, held flat. History says the margin is stable. A stable history makes the recent average the natural forecast level.

da pct revenue: 0.0208 (high)

Median D&A of 2.1% of revenue. D&A is forecast as a share of revenue rather than grown independently, so it stays tied to the asset base that revenue implies. The median avoids letting one impairment set the run rate.

tax rate: 0.2556 (high)

Median effective tax rate of 25.6%, bounded to [10%, 35%]. The effective rate is used because it is what the company actually pays. The floor exists because temporary credits and one-off settlements should not be projected into perpetuity.

capex pct revenue: 0.0146 (medium)

Median capex of 1.5% of revenue, where capital intensity is stable. Capex is the assumption most often set too low, because it is the easiest way to manufacture free cash flow.

capex pct revenue path: 0.0146 (medium)

Terminal-consistent capex of 3.2% of revenue: the level that reinvests 10% of NOPAT, the share needed to sustain 5.8% growth at a 60.0% return on invested capital. Capex fades from its historical share of revenue toward this figure over the forecast, in step with revenue growth fading toward its terminal rate, rather than staying at an investment-phase level while the growth it was funding tails off underneath it. Path: 1.5%, 2.1%, 2.6%, 3.0%, 3.2%.

nwc pct revenue: 0.1168 (medium)

Three-year average non-cash working capital of 11.7% of revenue, consistent with the full-period median of 11.0%. Holding the ratio constant means growth consumes cash in proportion to the revenue it adds. A negative ratio means suppliers and customers fund the business, so growth releases cash rather than consuming it.

terminal growth: 0.058 (medium)

Set to current growth of 5.8%, below the 9.0% GDP ceiling. The company is growing more slowly than the economy, and assuming it re-accelerates in perpetuity would push value into the terminal period on no evidence. Growth is therefore held flat rather than faded upward.

Resulting forecast drivers

Year	Rev growth	EBITDA margin	D&A / rev	Capex / rev	NWC / rev	Tax
2026E	5.8%	27.7%	2.1%	1.5%	11.7%	25.6%
2027E	5.8%	27.7%	2.1%	2.1%	11.7%	25.6%
2028E	5.8%	27.7%	2.1%	2.6%	11.7%	25.6%
2029E	5.8%	27.7%	2.1%	3.0%	11.7%	25.6%
2030E	5.8%	27.7%	2.1%	3.2%	11.7%	25.6%

Free cash flow to the firm

	2026E	2027E	2028E	2029E	2030E
EBIT	724,351	766,363	810,813	857,840	907,594
Tax on EBIT	-185,144	-195,882	-207,244	-219,264	-231,981
NOPAT	**539,207**	**570,481**	**603,569**	**638,576**	**675,613**
Depreciation and amortisation	58,762	62,170	65,776	69,591	73,627
Capital expenditure	-41,246	-62,349	-82,694	-101,174	-114,936
Change in working capital	-18,089	-19,138	-20,248	-21,423	-22,665
FCFF	**538,633**	**551,163**	**566,402**	**585,570**	**611,639**

Every figure is a cash impact, so a negative number is an outflow. Tax is charged on unlevered EBIT and interest is absent: the financing effect belongs in the discount rate, and counting it here as well would value the debt tax shield twice.

What to argue with

• Terminal capex (114,936) still runs 1.6x terminal D&A (73,627) even after fading toward the ROIC-consistent level. In perpetuity the two should converge, so terminal value from this base may still overstate the reinvestment the company can sustain.

Data quality: only 4 years of history, which is thin for a trend-based forecast.

Tech Mahindra (TECHM)

IT Services | FY2022 to FY2025 | INR millions | assumption confidence: medium

FY	Revenue	EBITDA	EBIT	D&A	Capex	NWC	dNWC	Net debt	Growth	EBITDA %	Capex %
2022	532,902	87,278	67,711	19,567	10,152	56,077	n/a	-42,132	n/a	16.4%	1.9%
2023	519,956	54,337	36,166	18,171	7,911	48,796	-7,281	-48,209	-2.4%	10.5%	1.5%
2024	529,883	78,278	59,749	18,529	5,935	40,696	-8,100	-53,818	1.9%	14.8%	1.1%
2025	568,154	87,921	69,105	18,816	6,957	47,213	6,517	-62,393	7.2%	15.5%	1.2%

What the history says

• Revenue compounded at 2.2% over 3 years, and at 2.2% over the last three.

• EBITDA compounded at 0.2%, against revenue at 2.2%: profit has grown more slowly than sales.

• Revenue growth: accelerating. Growth has accelerated. Acceleration is rarely permanent, so a forecast should fade it toward a sustainable rate rather than extend it.

• EBITDA margin: stable. EBITDA margin has been stable, so the recent average is a reasonable forecast level.

• EBIT margin: stable. EBIT margin has been stable, so the recent average is a reasonable forecast level.

• FCF margin: stable. Cash conversion has been stable.

• Capex / revenue: stable. Capital intensity has been stable.

Forecast assumptions and why

revenue growth start: 0.0216 (low)

Revenue CAGR of 2.2%. The history is short enough that the recent window and the full period are the same span, so there is no longer-run rate to compare against and the forecast rests on fewer observations than it should.

revenue growth path: 0.0216 (low)

Held flat at 2.2% for all 5 years: 2.2%, 2.2%, 2.2%, 2.2%, 2.2%. There is nothing to fade, because current growth is already at or below the terminal rate the company can sustain.

ebitda margin: 0.1357 (high)

Three-year average EBITDA margin of 13.6%, held flat. History says the margin is stable. A stable history makes the recent average the natural forecast level.

da pct revenue: 0.035 (high)

Median D&A of 3.5% of revenue. D&A is forecast as a share of revenue rather than grown independently, so it stays tied to the asset base that revenue implies. The median avoids letting one impairment set the run rate.

tax rate: 0.2538 (high)

Median effective tax rate of 25.4%, bounded to [10%, 35%]. The effective rate is used because it is what the company actually pays. The floor exists because temporary credits and one-off settlements should not be projected into perpetuity.

capex pct revenue: 0.0137 (medium)

Median capex of 1.4% of revenue, where capital intensity is stable. Capex is the assumption most often set too low, because it is the easiest way to manufacture free cash flow.

capex pct revenue path: 0.0137 (medium)

Terminal-consistent capex of 4.1% of revenue: the level that reinvests 10% of NOPAT, the share needed to sustain 2.2% growth at a 20.8% return on invested capital. Capex fades from its historical share of revenue toward this figure over the forecast, in step with revenue growth fading toward its terminal rate, rather than staying at an investment-phase level while the growth it was funding tails off underneath it. Path: 1.4%, 2.3%, 3.1%, 3.8%, 4.1%.

nwc pct revenue: 0.0846 (medium)

Three-year average non-cash working capital of 8.5% of revenue, consistent with the full-period median of 8.8%. Holding the ratio constant means growth consumes cash in proportion to the revenue it adds. A negative ratio means suppliers and customers fund the business, so growth releases cash rather than consuming it.

terminal growth: 0.0216 (medium)

Set to current growth of 2.2%, below the 9.0% GDP ceiling. The company is growing more slowly than the economy, and assuming it re-accelerates in perpetuity would push value into the terminal period on no evidence. Growth is therefore held flat rather than faded upward.

Resulting forecast drivers

Year	Rev growth	EBITDA margin	D&A / rev	Capex / rev	NWC / rev	Tax
2026E	2.2%	13.6%	3.5%	1.4%	8.5%	25.4%
2027E	2.2%	13.6%	3.5%	2.3%	8.5%	25.4%
2028E	2.2%	13.6%	3.5%	3.1%	8.5%	25.4%
2029E	2.2%	13.6%	3.5%	3.8%	8.5%	25.4%
2030E	2.2%	13.6%	3.5%	4.1%	8.5%	25.4%

Free cash flow to the firm

	2026E	2027E	2028E	2029E	2030E
EBIT	58,449	59,711	61,001	62,319	63,665
Tax on EBIT	-14,834	-15,155	-15,482	-15,817	-16,158
NOPAT	**43,615**	**44,557**	**45,519**	**46,502**	**47,507**
Depreciation and amortisation	20,315	20,754	21,202	21,660	22,128
Capital expenditure	-7,952	-13,792	-18,979	-23,250	-25,909
Change in working capital	-1,038	-1,061	-1,084	-1,107	-1,131
FCFF	**54,939**	**50,457**	**46,659**	**43,805**	**42,595**

Every figure is a cash impact, so a negative number is an outflow. Tax is charged on unlevered EBIT and interest is absent: the financing effect belongs in the discount rate, and counting it here as well would value the debt tax shield twice.

Data quality: only 4 years of history, which is thin for a trend-based forecast.

Wipro (WIPRO)

IT Services | FY2022 to FY2025 | INR millions | assumption confidence: medium

FY	Revenue	EBITDA	EBIT	D&A	Capex	NWC	dNWC	Net debt	Growth	EBITDA %	Capex %
2022	904,876	188,883	155,481	33,402	14,834	80,298	n/a	-227,200	n/a	20.9%	1.6%
2023	897,603	189,541	155,470	34,071	10,510	67,358	-12,940	-245,363	-0.8%	21.1%	1.2%
2024	890,884	213,783	184,204	29,579	15,037	57,012	-10,346	-340,338	-0.7%	24.0%	1.7%
2025	926,240	210,438	181,331	29,107	15,603	45,409	-11,603	-340,715	4.0%	22.7%	1.7%

What the history says

• Revenue compounded at 0.8% over 3 years, and at 0.8% over the last three.

• EBITDA compounded at 3.7%, against revenue at 0.8%: operating leverage is positive.

• Revenue growth: stable. Growth has been broadly stable, which makes a modest fade the neutral base case.

• EBITDA margin: expanding. EBITDA margin has expanded by 2.4%. Holding the recent level flat is the defensible base case; assuming further expansion needs a stated reason.

• EBIT margin: expanding. EBIT margin has expanded by 2.9%. Holding the recent level flat is the defensible base case; assuming further expansion needs a stated reason.

• FCF margin: stable. Cash conversion has been stable.

• Capex / revenue: stable. Capital intensity has been stable.

Forecast assumptions and why

revenue growth start: 0.0078 (low)

Revenue CAGR of 0.8%. The history is short enough that the recent window and the full period are the same span, so there is no longer-run rate to compare against and the forecast rests on fewer observations than it should.

revenue growth path: 0.0078 (low)

Fades geometrically from 0.8% to 2.0% over 5 years: 0.8%, 1.2%, 1.6%, 1.8%, 2.0%. Holding growth flat and then dropping straight to the terminal rate would imply a cliff that no business experiences.

ebitda margin: 0.2261 (medium)

Three-year average EBITDA margin of 22.6%, held flat. History says the margin is expanding. It has been expanding, but extending expansion into the forecast is the most common way a DCF is quietly steered upward, so the base case does not.

da pct revenue: 0.0351 (high)

Median D&A of 3.5% of revenue. D&A is forecast as a share of revenue rather than grown independently, so it stays tied to the asset base that revenue implies. The median avoids letting one impairment set the run rate.

tax rate: 0.2408 (high)

Median effective tax rate of 24.1%, bounded to [10%, 35%]. The effective rate is used because it is what the company actually pays. The floor exists because temporary credits and one-off settlements should not be projected into perpetuity.

capex pct revenue: 0.0166 (medium)

Median capex of 1.7% of revenue, where capital intensity is stable. Capex is the assumption most often set too low, because it is the easiest way to manufacture free cash flow.

capex pct revenue path: 0.0166 (medium)

Terminal-consistent capex of 4.6% of revenue: the level that reinvests 8% of NOPAT, the share needed to sustain 2.0% growth at a 24.3% return on invested capital. Capex fades from its historical share of revenue toward this figure over the forecast, in step with revenue growth fading toward its terminal rate, rather than staying at an investment-phase level while the growth it was funding tails off underneath it. Path: 1.7%, 2.7%, 3.5%, 4.2%, 4.6%.

nwc pct revenue: 0.0627 (medium)

Three-year average non-cash working capital of 6.3% of revenue, consistent with the full-period median of 7.0%. Holding the ratio constant means growth consumes cash in proportion to the revenue it adds. A negative ratio means suppliers and customers fund the

business, so growth releases cash rather than consuming it.

terminal growth: 0.02 (medium)

Floored at 2.0% inflation. Recent growth of 0.8% would imply the company grows below inflation in perpetuity, which means shrinking in real terms forever and eventually to nothing. A few years of weak growth is evidence about the cycle, not about the next century, and treating a cyclical window as a structural rate is not conservatism but a different and much stronger claim. The floor is what stops the terminal value being set by whichever part of the cycle the last four years happened to fall in.

Resulting forecast drivers

Year	Rev growth	EBITDA margin	D&A / rev	Capex / rev	NWC / rev	Tax
2026E	0.8%	22.6%	3.5%	1.7%	6.3%	24.1%
2027E	1.2%	22.6%	3.5%	2.7%	6.3%	24.1%
2028E	1.6%	22.6%	3.5%	3.5%	6.3%	24.1%
2029E	1.8%	22.6%	3.5%	4.2%	6.3%	24.1%
2030E	2.0%	22.6%	3.5%	4.6%	6.3%	24.1%

Free cash flow to the firm

	2026E	2027E	2028E	2029E	2030E
EBIT	178,292	180,446	183,277	186,664	190,397
Tax on EBIT	-42,933	-43,451	-44,133	-44,949	-45,848
NOPAT	**135,359**	**136,994**	**139,144**	**141,715**	**144,549**
Depreciation and amortisation	32,765	33,160	33,681	34,303	34,989
Capital expenditure	-15,496	-25,338	-34,017	-41,164	-45,616
Change in working capital	-453	-707	-929	-1,112	-1,226
FCFF	**152,175**	**144,110**	**137,878**	**133,743**	**132,697**

Every figure is a cash impact, so a negative number is an outflow. Tax is charged on unlevered EBIT and interest is absent: the financing effect belongs in the discount rate, and counting it here as well would value the debt tax shield twice.

Data quality: only 4 years of history, which is thin for a trend-based forecast.

Larsen & Toubro (LT)

Infrastructure | FY2022 to FY2025 | INR millions | assumption confidence: low

FY	Revenue	EBITDA	EBIT	D&A	Capex	NWC	dNWC	Net debt	Growth	EBITDA %	Capex %
2022	1,816,614	236,709	202,867	33,842	41,438	638,964	n/a	671,128	n/a	13.0%	2.3%
2023	2,191,157	277,283	240,536	36,747	45,165	510,796	-128,169	683,898	20.6%	12.7%	2.1%
2024	2,542,086	310,078	269,096	40,982	44,188	549,927	39,132	719,748	16.0%	12.2%	1.7%
2025	2,842,252	331,674	288,227	43,447	48,092	451,333	-98,594	488,721	11.8%	11.7%	1.7%

What the history says

• Revenue compounded at 16.1% over 3 years, and at 16.1% over the last three.

• EBITDA compounded at 11.9%, against revenue at 16.1%: profit has grown more slowly than sales.

• Revenue growth: decelerating. Growth has decelerated. The forecast should continue fading rather than assume a recovery the history does not support.

• EBITDA margin: stable. EBITDA margin has been stable, so the recent average is a reasonable forecast level.

• EBIT margin: stable. EBIT margin has been stable, so the recent average is a reasonable forecast level.

• FCF margin: deteriorating. Cash conversion has deteriorated. Earnings are turning into cash less reliably, which is a warning worth carrying into the forecast.

• Capex / revenue: stable. Capital intensity has been stable.

Forecast assumptions and why

revenue growth start: 0.1609 (low)

Revenue CAGR of 16.1%. The history is short enough that the recent window and the full period are the same span, so there is no longer-run rate to compare against and the forecast rests on fewer observations than it should.

revenue growth path: 0.1609 (low)

Fades geometrically from 16.1% to 5.6% over 5 years: 16.1%, 12.4%, 9.3%, 6.9%, 5.6%. Holding growth flat and then dropping straight to the terminal rate would imply a cliff that no business experiences.

ebitda margin: 0.1217 (high)

Three-year average EBITDA margin of 12.2%, held flat. History says the margin is stable. A stable history makes the recent average the natural forecast level.

da pct revenue: 0.0164 (high)

Median D&A of 1.6% of revenue. D&A is forecast as a share of revenue rather than grown independently, so it stays tied to the asset base that revenue implies. The median avoids letting one impairment set the run rate.

tax rate: 0.2896 (high)

Median effective tax rate of 29.0%, bounded to [10%, 35%]. The effective rate is used because it is what the company actually pays. The floor exists because temporary credits and one-off settlements should not be projected into perpetuity.

capex pct revenue: 0.019 (medium)

Median capex of 1.9% of revenue, where capital intensity is stable. Capex is the assumption most often set too low, because it is the easiest way to manufacture free cash flow.

capex pct revenue path: 0.019 (medium)

Terminal-consistent capex of 4.3% of revenue: the level that reinvests 50% of NOPAT, the share needed to sustain 5.6% growth at a 11.2% return on invested capital. Capex fades from its historical share of revenue toward this figure over the forecast, in step with revenue growth fading toward its terminal rate, rather than staying at an investment-phase level while the growth it was funding tails off underneath it. Path: 1.9%, 2.7%, 3.4%, 4.0%, 4.3%.

nwc pct revenue: 0.2027 (low)

Three-year average non-cash working capital of 20.3% of revenue, against a full-period median of 22.5%. The recent level is used because the forecast bridges from the last reported balance, and a ratio drawn from a period the business has moved away from would create a first-year cash flow that is an artefact of averaging. Holding the ratio constant means growth consumes cash in proportion to the revenue it adds. A negative ratio means suppliers and customers fund the business, so growth releases cash rather than consuming it.

terminal growth: 0.0562 (medium)

Capped at long-run nominal GDP of 9.0%, reduced to 5.6% because growth is fading. No company can outgrow the economy in perpetuity, so this is a ceiling rather than a view.

Resulting forecast drivers

Year	Rev growth	EBITDA margin	D&A / rev	Capex / rev	NWC / rev	Tax
2026E	16.1%	12.2%	1.6%	1.9%	20.3%	29.0%
2027E	12.4%	12.2%	1.6%	2.7%	20.3%	29.0%
2028E	9.3%	12.2%	1.6%	3.4%	20.3%	29.0%
2029E	6.9%	12.2%	1.6%	4.0%	20.3%	29.0%
2030E	5.6%	12.2%	1.6%	4.3%	20.3%	29.0%

Free cash flow to the firm

	2026E	2027E	2028E	2029E	2030E
EBIT	347,445	390,597	427,009	456,596	482,257
Tax on EBIT	-100,620	-113,117	-123,662	-132,230	-139,662
NOPAT	**246,825**	**277,480**	**303,347**	**324,366**	**342,595**
Depreciation and amortisation	54,113	60,834	66,505	71,113	75,109
Capital expenditure	-62,692	-101,266	-139,133	-172,275	-195,513
Change in working capital	-92,698	-83,068	-70,091	-56,955	-49,396
FCFF	**145,547**	**153,980**	**160,628**	**166,249**	**172,795**

Every figure is a cash impact, so a negative number is an outflow. Tax is charged on unlevered EBIT and interest is absent: the financing effect belongs in the discount rate, and counting it here as well would value the debt tax shield twice.

What to argue with

• Terminal capex (195,513) still runs 2.6x terminal D&A (75,109) even after fading toward the ROIC-consistent level. In perpetuity the two should converge, so terminal value from this base may still overstate the reinvestment the company can sustain.

Data quality: only 4 years of history, which is thin for a trend-based forecast.

Hindalco Industries (HINDALCO)

Metals | FY2022 to FY2025 | INR millions | assumption confidence: low

FY	Revenue	EBITDA	EBIT	D&A	Capex	NWC	dNWC	Net debt	Growth	EBITDA %	Capex %
2022	2,219,370	239,290	168,430	70,860	97,370	144,220	n/a	389,590	n/a	10.8%	4.4%
2023	2,148,070	253,160	177,950	75,210	157,280	137,070	-7,150	399,650	-3.2%	11.8%	7.3%
2024	2,370,220	335,470	256,660	78,810	206,490	198,240	61,170	415,960	10.3%	14.2%	8.7%
2025	2,726,420	306,240	217,940	88,300	300,960	228,380	30,140	764,140	15.0%	11.2%	11.0%

What the history says

• Revenue compounded at 7.1% over 3 years, and at 7.1% over the last three.

• EBITDA compounded at 8.6%, against revenue at 7.1%: operating leverage is positive.

• Revenue growth: accelerating. Growth has accelerated. Acceleration is rarely permanent, so a forecast should fade it toward a sustainable rate rather than extend it.

• EBITDA margin: stable. EBITDA margin has been stable, so the recent average is a reasonable forecast level.

• EBIT margin: stable. EBIT margin has been stable, so the recent average is a reasonable forecast level.

• FCF margin: deteriorating. Cash conversion has deteriorated. Earnings are turning into cash less reliably, which is a warning worth carrying into the forecast.

• Capex / revenue: rising. Capital intensity is rising, which consumes free cash flow even when margins hold.

Forecast assumptions and why

revenue growth start: 0.071 (low)

Revenue CAGR of 7.1%. The history is short enough that the recent window and the full period are the same span, so there is no longer-run rate to compare against and the forecast rests on fewer observations than it should.

revenue growth path: 0.071 (low)

Held flat at 7.1% for all 5 years: 7.1%, 7.1%, 7.1%, 7.1%, 7.1%. There is nothing to fade, because current growth is already at or below the terminal rate the company can sustain.

ebitda margin: 0.1239 (high)

Three-year average EBITDA margin of 12.4%, held flat. History says the margin is stable. A stable history makes the recent average the natural forecast level.

da pct revenue: 0.0328 (high)

Median D&A of 3.3% of revenue. D&A is forecast as a share of revenue rather than grown independently, so it stays tied to the asset base that revenue implies. The median avoids letting one impairment set the run rate.

tax rate: 0.2756 (high)

Median effective tax rate of 27.6%, bounded to [10%, 35%]. The effective rate is used because it is what the company actually pays. The floor exists because temporary credits and one-off settlements should not be projected into perpetuity.

capex pct revenue: 0.0802 (low)

Median capex of 8.0% of revenue, where capital intensity is rising. Capex is the assumption most often set too low, because it is the easiest way to manufacture free cash flow.

capex pct revenue path: 0.0802 (low)

Terminal-consistent capex of 8.0% of revenue: the level that reinvests 79% of NOPAT, the share needed to sustain 7.1% growth at a 9.0% return on invested capital. Capex fades from its historical share of revenue toward this figure over the forecast, in step with revenue growth fading toward its terminal rate, rather than staying at an investment-phase level while the growth it was funding tails off underneath it. Path: 8.0%, 8.0%, 8.0%, 8.0%, 8.0%.

nwc pct revenue: 0.0771 (medium)

Three-year average non-cash working capital of 7.7% of revenue, consistent with the full-period median of 7.4%. Holding the ratio constant means growth consumes cash in proportion to the revenue it adds. A negative ratio means suppliers and customers fund the

business, so growth releases cash rather than consuming it.

terminal growth: 0.071 (medium)

Set to current growth of 7.1%, below the 9.0% GDP ceiling. The company is growing more slowly than the economy, and assuming it re-accelerates in perpetuity would push value into the terminal period on no evidence. Growth is therefore held flat rather than faded upward.

Resulting forecast drivers

Year	Rev growth	EBITDA margin	D&A / rev	Capex / rev	NWC / rev	Tax
2026E	7.1%	12.4%	3.3%	8.0%	7.7%	27.6%
2027E	7.1%	12.4%	3.3%	8.0%	7.7%	27.6%
2028E	7.1%	12.4%	3.3%	8.0%	7.7%	27.6%
2029E	7.1%	12.4%	3.3%	8.0%	7.7%	27.6%
2030E	7.1%	12.4%	3.3%	8.0%	7.7%	27.6%

Free cash flow to the firm

	2026E	2027E	2028E	2029E	2030E
EBIT	266,012	284,898	305,126	326,790	349,992
Tax on EBIT	-73,313	-78,518	-84,093	-90,063	-96,458
NOPAT	**192,699**	**206,380**	**221,033**	**236,727**	**253,534**
Depreciation and amortisation	95,776	102,576	109,859	117,659	126,013
Capital expenditure	-234,184	-250,091	-267,212	-285,645	-305,619
Change in working capital	-14,925	-15,984	-17,119	-18,335	-19,636
FCFF	**39,366**	**42,881**	**46,562**	**50,405**	**54,292**

Every figure is a cash impact, so a negative number is an outflow. Tax is charged on unlevered EBIT and interest is absent: the financing effect belongs in the discount rate, and counting it here as well would value the debt tax shield twice.

What to argue with

• Terminal capex (305,619) still runs 2.4x terminal D&A (126,013) even after fading toward the ROIC-consistent level. In perpetuity the two should converge, so terminal value from this base may still overstate the reinvestment the company can sustain.

• Reinvestment averages 129% of NOPAT, so the company is investing more than it earns after tax and is funding growth externally.

Data quality: only 4 years of history, which is thin for a trend-based forecast.

JSW Steel (JSWSTEEL)

Metals | FY2022 to FY2025 | INR millions | assumption confidence: medium

FY	Revenue	EBITDA	EBIT	D&A	Capex	NWC	dNWC	Net debt	Growth	EBITDA %	Capex %
2022	1,636,460	193,890	119,150	74,740	147,840	202,770	n/a	860,800	n/a	11.8%	9.0%
2023	1,725,880	291,830	210,110	81,720	158,010	266,990	64,220	979,640	5.5%	16.9%	9.2%
2024	1,665,750	222,490	129,400	93,090	126,940	263,890	-3,100	1,009,930	-3.5%	13.4%	7.6%
2025	1,820,370	471,510	375,500	96,010	146,540	241,600	-22,290	694,400	9.3%	25.9%	8.1%

What the history says

• Revenue compounded at 3.6% over 3 years, and at 3.6% over the last three.

• EBITDA compounded at 34.5%, against revenue at 3.6%: operating leverage is positive.

• Revenue growth: stable. Growth has been broadly stable, which makes a modest fade the neutral base case.

• EBITDA margin: expanding. EBITDA margin has expanded by 5.3%. Holding the recent level flat is the defensible base case; assuming further expansion needs a stated reason.

• EBIT margin: expanding. EBIT margin has expanded by 4.5%. Holding the recent level flat is the defensible base case; assuming further expansion needs a stated reason.

• FCF margin: improving. Cash conversion has improved, which supports the quality of reported earnings.

• Capex / revenue: stable. Capital intensity has been stable.

Forecast assumptions and why

revenue growth start: 0.0361 (low)

Revenue CAGR of 3.6%. The history is short enough that the recent window and the full period are the same span, so there is no longer-run rate to compare against and the forecast rests on fewer observations than it should.

revenue growth path: 0.0361 (low)

Held flat at 3.6% for all 5 years: 3.6%, 3.6%, 3.6%, 3.6%, 3.6%. There is nothing to fade, because current growth is already at or below the terminal rate the company can sustain.

ebitda margin: 0.1872 (medium)

Three-year average EBITDA margin of 18.7%, held flat. History says the margin is expanding. It has been expanding, but extending expansion into the forecast is the most common way a DCF is quietly steered upward, so the base case does not.

da pct revenue: 0.05 (high)

Median D&A of 5.0% of revenue. D&A is forecast as a share of revenue rather than grown independently, so it stays tied to the asset base that revenue implies. The median avoids letting one impairment set the run rate.

tax rate: 0.2897 (high)

Median effective tax rate of 29.0%, bounded to [10%, 35%]. The effective rate is used because it is what the company actually pays. The floor exists because temporary credits and one-off settlements should not be projected into perpetuity.

capex pct revenue: 0.0854 (medium)

Median capex of 8.5% of revenue, where capital intensity is stable. Capex is the assumption most often set too low, because it is the easiest way to manufacture free cash flow.

capex pct revenue path: 0.0854 (medium)

Terminal-consistent capex of 9.5% of revenue: the level that reinvests 51% of NOPAT, the share needed to sustain 3.6% growth at a 7.0% return on invested capital. Capex fades from its historical share of revenue toward this figure over the forecast, in step with revenue growth fading toward its terminal rate, rather than staying at an investment-phase level while the growth it was funding tails off underneath it. Path: 8.5%, 8.9%, 9.1%, 9.3%, 9.5%.

nwc pct revenue: 0.1486 (medium)

Three-year average non-cash working capital of 14.9% of revenue, consistent with the full-period median of 14.4%. Holding the ratio constant means growth consumes cash in proportion to the revenue it adds. A negative ratio means suppliers and customers fund the

business, so growth releases cash rather than consuming it.

terminal growth: 0.0361 (medium)

Set to current growth of 3.6%, below the 9.0% GDP ceiling. The company is growing more slowly than the economy, and assuming it re-accelerates in perpetuity would push value into the terminal period on no evidence. Growth is therefore held flat rather than faded upward.

Resulting forecast drivers

Year	Rev growth	EBITDA margin	D&A / rev	Capex / rev	NWC / rev	Tax
2026E	3.6%	18.7%	5.0%	8.5%	14.9%	29.0%
2027E	3.6%	18.7%	5.0%	8.9%	14.9%	29.0%
2028E	3.6%	18.7%	5.0%	9.1%	14.9%	29.0%
2029E	3.6%	18.7%	5.0%	9.3%	14.9%	29.0%
2030E	3.6%	18.7%	5.0%	9.5%	14.9%	29.0%

Free cash flow to the firm

	2026E	2027E	2028E	2029E	2030E
EBIT	258,771	268,113	277,791	287,820	298,210
Tax on EBIT	-74,966	-77,672	-80,476	-83,381	-86,391
NOPAT	**183,805**	**190,440**	**197,315**	**204,438**	**211,819**
Depreciation and amortisation	94,304	97,709	101,236	104,891	108,677
Capital expenditure	-161,072	-173,218	-184,999	-196,103	-205,682
Change in working capital	-9,765	-10,118	-10,483	-10,862	-11,254
FCFF	**107,272**	**104,813**	**103,070**	**102,364**	**103,560**

Every figure is a cash impact, so a negative number is an outflow. Tax is charged on unlevered EBIT and interest is absent: the financing effect belongs in the discount rate, and counting it here as well would value the debt tax shield twice.

What to argue with

• Terminal capex (205,682) still runs 1.9x terminal D&A (108,677) even after fading toward the ROIC-consistent level. In perpetuity the two should converge, so terminal value from this base may still overstate the reinvestment the company can sustain.

Data quality: only 4 years of history, which is thin for a trend-based forecast.

Tata Steel (TATASTEEL)

Metals | FY2022 to FY2025 | INR millions | assumption confidence: low

FY	Revenue	EBITDA	EBIT	D&A	Capex	NWC	dNWC	Net debt	Growth	EBITDA %	Capex %
2022	2,416,362	338,752	245,338	93,414	141,425	-11,608	n/a	677,905	n/a	14.0%	5.9%
2023	2,272,962	162,489	63,605	98,884	182,066	-67,131	-55,523	782,271	-5.9%	7.1%	8.0%
2024	2,168,404	261,802	157,538	104,264	156,705	-85,897	-18,767	835,013	-4.6%	12.1%	7.2%
2025	2,302,935	350,928	231,358	119,570	145,590	-152,669	-66,772	803,095	6.2%	15.2%	6.3%

What the history says

• Revenue compounded at -1.6% over 3 years, and at -1.6% over the last three.

• EBITDA compounded at 1.2%, against revenue at -1.6%: operating leverage is positive.

• Revenue growth: accelerating. Growth has accelerated. Acceleration is rarely permanent, so a forecast should fade it toward a sustainable rate rather than extend it.

• EBITDA margin: expanding. EBITDA margin has expanded by 3.1%. Holding the recent level flat is the defensible base case; assuming further expansion needs a stated reason.

• EBIT margin: expanding. EBIT margin has expanded by 2.2%. Holding the recent level flat is the defensible base case; assuming further expansion needs a stated reason.

• FCF margin: improving. Cash conversion has improved, which supports the quality of reported earnings.

• Capex / revenue: stable. Capital intensity has been stable.

Forecast assumptions and why

revenue growth start: -0.0159 (low)

Revenue CAGR of -1.6%. The history is short enough that the recent window and the full period are the same span, so there is no longer-run rate to compare against and the forecast rests on fewer observations than it should.

revenue growth path: -0.0159 (low)

Fades geometrically from -1.6% to 2.0% over 5 years: -1.6%, -0.3%, 0.7%, 1.6%, 2.0%. Holding growth flat and then dropping straight to the terminal rate would imply a cliff that no business experiences.

ebitda margin: 0.1149 (medium)

Three-year average EBITDA margin of 11.5%, held flat. History says the margin is expanding. It has been expanding, but extending expansion into the forecast is the most common way a DCF is quietly steered upward, so the base case does not.

da pct revenue: 0.0458 (high)

Median D&A of 4.6% of revenue. D&A is forecast as a share of revenue rather than grown independently, so it stays tied to the asset base that revenue implies. The median avoids letting one impairment set the run rate.

tax rate: 0.35 (low)

Median effective tax rate of 53.7%, bounded to [10%, 35%]. The effective rate is used because it is what the company actually pays. The floor exists because temporary credits and one-off settlements should not be projected into perpetuity.

capex pct revenue: 0.0677 (medium)

Median capex of 6.8% of revenue, where capital intensity is stable. Capex is the assumption most often set too low, because it is the easiest way to manufacture free cash flow.

capex pct revenue path: 0.0677 (medium)

Terminal-consistent capex of 5.9% of revenue: the level that reinvests 28% of NOPAT, the share needed to sustain 2.0% growth at a 7.1% return on invested capital. Capex fades from its historical share of revenue toward this figure over the forecast, in step with revenue growth fading toward its terminal rate, rather than staying at an investment-phase level while the growth it was funding tails off underneath it. Path: 6.8%, 6.5%, 6.2%, 6.0%, 5.9%.

nwc pct revenue: -0.0451 (medium)

Three-year average non-cash working capital of -4.5% of revenue, consistent with the full-period median of -3.5%. Holding the ratio constant means growth consumes cash in proportion to the revenue it adds. A negative ratio means suppliers and customers fund the business, so growth releases cash rather than consuming it.

terminal growth: 0.02 (medium)

Floored at 2.0% inflation. Recent growth of -1.6% would imply the company grows below inflation in perpetuity, which means shrinking in real terms forever and eventually to nothing. A few years of weak growth is evidence about the cycle, not about the next century, and treating a cyclical window as a structural rate is not conservatism but a different and much stronger claim. The floor is what stops the terminal value being set by whichever part of the cycle the last four years happened to fall in.

Resulting forecast drivers

Year	Rev growth	EBITDA margin	D&A / rev	Capex / rev	NWC / rev	Tax
2026E	-1.6%	11.5%	4.6%	6.8%	-4.5%	35.0%
2027E	-0.3%	11.5%	4.6%	6.5%	-4.5%	35.0%
2028E	0.7%	11.5%	4.6%	6.2%	-4.5%	35.0%
2029E	1.6%	11.5%	4.6%	6.0%	-4.5%	35.0%
2030E	2.0%	11.5%	4.6%	5.9%	-4.5%	35.0%

Free cash flow to the firm

	2026E	2027E	2028E	2029E	2030E
EBIT	156,603	156,083	157,224	159,662	162,855
Tax on EBIT	-54,811	-54,629	-55,028	-55,882	-56,999
NOPAT	**101,792**	**101,454**	**102,195**	**103,780**	**105,856**
Depreciation and amortisation	103,797	103,453	104,209	105,825	107,942
Capital expenditure	-153,430	-146,392	-141,888	-139,722	-140,089
Change in working capital	-1,651	-339	745	1,592	2,084
FCFF	**50,508**	**58,175**	**65,261**	**71,476**	**75,793**

Every figure is a cash impact, so a negative number is an outflow. Tax is charged on unlevered EBIT and interest is absent: the financing effect belongs in the discount rate, and counting it here as well would value the debt tax shield twice.

What to argue with

• Reinvestment averages 140% of NOPAT, so the company is investing more than it earns after tax and is funding growth externally.

Data quality: only 4 years of history, which is thin for a trend-based forecast.

Cipla (CIPLA)

Pharmaceuticals | FY2022 to FY2025 | INR millions | assumption confidence: low

FY	Revenue	EBITDA	EBIT	D&A	Capex	NWC	dNWC	Net debt	Growth	EBITDA %	Capex %
2022	224,732	51,521	41,329	10,192	11,829	64,226	n/a	-54,599	n/a	22.9%	5.3%
2023	254,466	68,240	57,730	10,510	13,493	66,637	2,411	-72,196	13.2%	26.8%	5.3%
2024	271,454	78,603	68,648	9,954	15,482	72,754	6,117	-101,711	6.7%	29.0%	5.7%
2025	277,117	63,555	52,719	10,836	30,793	72,458	-296	-94,144	2.1%	22.9%	11.1%

What the history says

• Revenue compounded at 7.2% over 3 years, and at 7.2% over the last three.

• EBITDA compounded at 7.2%, against revenue at 7.2%: operating leverage is positive.

• Revenue growth: decelerating. Growth has decelerated. The forecast should continue fading rather than assume a recovery the history does not support.

• EBITDA margin: stable. EBITDA margin has been stable, so the recent average is a reasonable forecast level.

• EBIT margin: stable. EBIT margin has been stable, so the recent average is a reasonable forecast level.

• FCF margin: deteriorating. Cash conversion has deteriorated. Earnings are turning into cash less reliably, which is a warning worth carrying into the forecast.

• Capex / revenue: rising. Capital intensity is rising, which consumes free cash flow even when margins hold.

Forecast assumptions and why

revenue growth start: 0.0723 (low)

Revenue CAGR of 7.2%. The history is short enough that the recent window and the full period are the same span, so there is no longer-run rate to compare against and the forecast rests on fewer observations than it should.

revenue growth path: 0.0723 (low)

Fades geometrically from 7.2% to 5.6% over 5 years: 7.2%, 6.7%, 6.2%, 5.8%, 5.6%. Holding growth flat and then dropping straight to the terminal rate would imply a cliff that no business experiences.

ebitda margin: 0.2624 (high)

Three-year average EBITDA margin of 26.2%, held flat. History says the margin is stable. A stable history makes the recent average the natural forecast level.

da pct revenue: 0.0402 (high)

Median D&A of 4.0% of revenue. D&A is forecast as a share of revenue rather than grown independently, so it stays tied to the asset base that revenue implies. The median avoids letting one impairment set the run rate.

tax rate: 0.2658 (high)

Median effective tax rate of 26.6%, bounded to [10%, 35%]. The effective rate is used because it is what the company actually pays. The floor exists because temporary credits and one-off settlements should not be projected into perpetuity.

capex pct revenue: 0.055 (low)

Median capex of 5.5% of revenue, where capital intensity is rising. Capex is the assumption most often set too low, because it is the easiest way to manufacture free cash flow.

capex pct revenue path: 0.055 (low)

Terminal-consistent capex of 7.3% of revenue: the level that reinvests 29% of NOPAT, the share needed to sustain 5.6% growth at a 19.3% return on invested capital. Capex fades from its historical share of revenue toward this figure over the forecast, in step with revenue growth fading toward its terminal rate, rather than staying at an investment-phase level while the growth it was funding tails off underneath it. Path: 5.5%, 6.1%, 6.7%, 7.1%, 7.3%.

nwc pct revenue: 0.2638 (medium)

Three-year average non-cash working capital of 26.4% of revenue, consistent with the full-period median of 26.5%. Holding the ratio constant means growth consumes cash in proportion to the revenue it adds. A negative ratio means suppliers and customers fund the

business, so growth releases cash rather than consuming it.

terminal growth: 0.0562 (medium)

Capped at long-run nominal GDP of 9.0%, reduced to 5.6% because growth is fading. No company can outgrow the economy in perpetuity, so this is a ceiling rather than a view.

Resulting forecast drivers

Year	Rev growth	EBITDA margin	D&A / rev	Capex / rev	NWC / rev	Tax
2026E	7.2%	26.2%	4.0%	5.5%	26.4%	26.6%
2027E	6.7%	26.2%	4.0%	6.1%	26.4%	26.6%
2028E	6.2%	26.2%	4.0%	6.7%	26.4%	26.6%
2029E	5.8%	26.2%	4.0%	7.1%	26.4%	26.6%
2030E	5.6%	26.2%	4.0%	7.3%	26.4%	26.6%

Free cash flow to the firm

	2026E	2027E	2028E	2029E	2030E
EBIT	66,027	70,429	74,787	79,141	83,589
Tax on EBIT	-17,550	-18,720	-19,879	-21,036	-22,218
NOPAT	**48,477**	**51,709**	**54,909**	**58,105**	**61,371**
Depreciation and amortisation	11,946	12,742	13,530	14,318	15,123
Capital expenditure	-16,343	-19,411	-22,386	-25,138	-27,390
Change in working capital	-5,285	-5,225	-5,175	-5,168	-5,280
FCFF	**38,794**	**39,814**	**40,879**	**42,116**	**43,823**

Every figure is a cash impact, so a negative number is an outflow. Tax is charged on unlevered EBIT and interest is absent: the financing effect belongs in the discount rate, and counting it here as well would value the debt tax shield twice.

What to argue with

• Terminal capex (27,390) still runs 1.8x terminal D&A (15,123) even after fading toward the ROIC-consistent level. In perpetuity the two should converge, so terminal value from this base may still overstate the reinvestment the company can sustain.

Data quality: only 4 years of history, which is thin for a trend-based forecast.

Divi's Laboratories (DIVISLAB)

Pharmaceuticals | FY2022 to FY2025 | INR millions | assumption confidence: low

FY	Revenue	EBITDA	EBIT	D&A	Capex	NWC	dNWC	Net debt	Growth	EBITDA %	Capex %
2022	76,650	27,120	23,690	3,430	4,730	40,750	n/a	-41,320	n/a	35.4%	6.2%
2023	77,960	25,440	21,660	3,780	10,030	46,960	6,210	-36,980	1.7%	32.6%	12.9%
2024	93,250	33,200	29,180	4,020	14,380	50,920	3,960	-35,350	19.6%	35.6%	15.4%
2025	104,760	38,740	34,110	4,630	25,200	58,170	7,250	-32,290	12.3%	37.0%	24.1%

What the history says

• Revenue compounded at 11.0% over 3 years, and at 11.0% over the last three.

• EBITDA compounded at 12.6%, against revenue at 11.0%: operating leverage is positive.

• Revenue growth: accelerating. Growth has accelerated. Acceleration is rarely permanent, so a forecast should fade it toward a sustainable rate rather than extend it.

• EBITDA margin: expanding. EBITDA margin has expanded by 2.3%. Holding the recent level flat is the defensible base case; assuming further expansion needs a stated reason.

• EBIT margin: expanding. EBIT margin has expanded by 2.6%. Holding the recent level flat is the defensible base case; assuming further expansion needs a stated reason.

• FCF margin: deteriorating. Cash conversion has deteriorated. Earnings are turning into cash less reliably, which is a warning worth carrying into the forecast.

• Capex / revenue: rising. Capital intensity is rising, which consumes free cash flow even when margins hold.

Forecast assumptions and why

revenue growth start: 0.1098 (low)

Revenue CAGR of 11.0%. The history is short enough that the recent window and the full period are the same span, so there is no longer-run rate to compare against and the forecast rests on fewer observations than it should.

revenue growth path: 0.1098 (low)

Fades geometrically from 11.0% to 9.0% over 5 years: 11.0%, 10.3%, 9.7%, 9.2%, 9.0%. Holding growth flat and then dropping straight to the terminal rate would imply a cliff that no business experiences.

ebitda margin: 0.3507 (medium)

Three-year average EBITDA margin of 35.1%, held flat. History says the margin is expanding. It has been expanding, but extending expansion into the forecast is the most common way a DCF is quietly steered upward, so the base case does not.

da pct revenue: 0.0445 (high)

Median D&A of 4.4% of revenue. D&A is forecast as a share of revenue rather than grown independently, so it stays tied to the asset base that revenue implies. The median avoids letting one impairment set the run rate.

tax rate: 0.2453 (high)

Median effective tax rate of 24.5%, bounded to [10%, 35%]. The effective rate is used because it is what the company actually pays. The floor exists because temporary credits and one-off settlements should not be projected into perpetuity.

capex pct revenue: 0.1414 (low)

Median capex of 14.1% of revenue, where capital intensity is rising. Capex is the assumption most often set too low, because it is the easiest way to manufacture free cash flow.

capex pct revenue path: 0.1414 (low)

Terminal-consistent capex of 10.2% of revenue: the level that reinvests 47% of NOPAT, the share needed to sustain 9.0% growth at a 19.1% return on invested capital. Capex fades from its historical share of revenue toward this figure over the forecast, in step with revenue growth fading toward its terminal rate, rather than staying at an investment-phase level while the growth it was funding tails off underneath it. Path: 14.1%, 12.8%, 11.6%, 10.7%, 10.2%.

nwc pct revenue: 0.5679 (medium)

Three-year average non-cash working capital of 56.8% of revenue, consistent with the full-period median of 55.1%. Holding the ratio constant means growth consumes cash in proportion to the revenue it adds. A negative ratio means suppliers and customers fund the business, so growth releases cash rather than consuming it.

terminal growth: 0.09 (medium)

Capped at long-run nominal GDP of 9.0%. No company can outgrow the economy in perpetuity, so this is a ceiling rather than a view.

Resulting forecast drivers

Year	Rev growth	EBITDA margin	D&A / rev	Capex / rev	NWC / rev	Tax
2026E	11.0%	35.1%	4.5%	14.1%	56.8%	24.5%
2027E	10.3%	35.1%	4.5%	12.8%	56.8%	24.5%
2028E	9.7%	35.1%	4.5%	11.6%	56.8%	24.5%
2029E	9.2%	35.1%	4.5%	10.7%	56.8%	24.5%
2030E	9.0%	35.1%	4.5%	10.2%	56.8%	24.5%

Free cash flow to the firm

	2026E	2027E	2028E	2029E	2030E
EBIT	35,600	39,261	43,070	47,053	51,288
Tax on EBIT	-8,733	-9,631	-10,565	-11,542	-12,581
NOPAT	**26,867**	**29,631**	**32,505**	**35,511**	**38,707**
Depreciation and amortisation	5,174	5,706	6,259	6,838	7,454
Capital expenditure	-16,440	-16,362	-16,311	-16,436	-17,091
Change in working capital	-6,532	-6,791	-7,063	-7,387	-7,854
FCFF	**9,069**	**12,183**	**15,390**	**18,525**	**21,215**

Every figure is a cash impact, so a negative number is an outflow. Tax is charged on unlevered EBIT and interest is absent: the financing effect belongs in the discount rate, and counting it here as well would value the debt tax shield twice.

What to argue with

• Terminal capex (17,091) still runs 2.3x terminal D&A (7,454) even after fading toward the ROIC-consistent level. In perpetuity the two should converge, so terminal value from this base may still overstate the reinvestment the company can sustain.

Data quality: only 4 years of history, which is thin for a trend-based forecast.

Dr. Reddy's Laboratories (DRREDDY)

Pharmaceuticals | FY2022 to FY2025 | INR millions | assumption confidence: low

FY	Revenue	EBITDA	EBIT	D&A	Capex	NWC	dNWC	Net debt	Growth	EBITDA %	Capex %
2022	245,879	74,431	61,795	12,636	18,866	67,801	n/a	-48,325	n/a	30.3%	7.7%
2023	279,164	88,422	73,581	14,841	27,435	83,263	15,462	-61,450	13.5%	31.7%	9.8%
2024	325,535	96,671	79,613	17,058	34,398	99,857	16,594	-11,142	16.6%	29.7%	10.6%
2025	335,933	79,160	58,555	20,605	38,425	109,529	9,672	-10,473	3.2%	23.6%	11.4%

What the history says

• Revenue compounded at 11.0% over 3 years, and at 11.0% over the last three.

• EBITDA compounded at 2.1%, against revenue at 11.0%: profit has grown more slowly than sales.

• Revenue growth: decelerating. Growth has decelerated. The forecast should continue fading rather than assume a recovery the history does not support.

• EBITDA margin: compressing. EBITDA margin has compressed by 4.3%, which is a direct drag on value and should not be assumed away in the base case.

• EBIT margin: compressing. EBIT margin has compressed by 4.8%, which is a direct drag on value and should not be assumed away in the base case.

• FCF margin: deteriorating. Cash conversion has deteriorated. Earnings are turning into cash less reliably, which is a warning worth carrying into the forecast.

• Capex / revenue: rising. Capital intensity is rising, which consumes free cash flow even when margins hold.

Forecast assumptions and why

revenue growth start: 0.1096 (low)

Revenue CAGR of 11.0%. The history is short enough that the recent window and the full period are the same span, so there is no longer-run rate to compare against and the forecast rests on fewer observations than it should.

revenue growth path: 0.1096 (low)

Fades geometrically from 11.0% to 5.6% over 5 years: 11.0%, 9.1%, 7.5%, 6.3%, 5.6%. Holding growth flat and then dropping straight to the terminal rate would imply a cliff that no business experiences.

ebitda margin: 0.2831 (medium)

Three-year average EBITDA margin of 28.3%, held flat. History says the margin is compressing. It has been compressing. Holding it flat is already generous relative to the trend; the bear case carries the compression through.

da pct revenue: 0.0528 (high)

Median D&A of 5.3% of revenue. D&A is forecast as a share of revenue rather than grown independently, so it stays tied to the asset base that revenue implies. The median avoids letting one impairment set the run rate.

tax rate: 0.2393 (high)

Median effective tax rate of 23.9%, bounded to [10%, 35%]. The effective rate is used because it is what the company actually pays. The floor exists because temporary credits and one-off settlements should not be projected into perpetuity.

capex pct revenue: 0.102 (low)

Median capex of 10.2% of revenue, where capital intensity is rising. Capex is the assumption most often set too low, because it is the easiest way to manufacture free cash flow.

capex pct revenue path: 0.102 (low)

Terminal-consistent capex of 8.0% of revenue: the level that reinvests 25% of NOPAT, the share needed to sustain 5.6% growth at a 22.2% return on invested capital. Capex fades from its historical share of revenue toward this figure over the forecast, in step with revenue growth fading toward its terminal rate, rather than staying at an investment-phase level while the growth it was funding tails off underneath it. Path: 10.2%, 9.4%, 8.8%, 8.3%, 8.0%.

nwc pct revenue: 0.3103 (medium)

Three-year average non-cash working capital of 31.0% of revenue, consistent with the full-period median of 30.3%. Holding the ratio constant means growth consumes cash in proportion to the revenue it adds. A negative ratio means suppliers and customers fund the business, so growth releases cash rather than consuming it.

terminal growth: 0.0562 (medium)

Capped at long-run nominal GDP of 9.0%, reduced to 5.6% because growth is fading. No company can outgrow the economy in perpetuity, so this is a ceiling rather than a view.

Resulting forecast drivers

Year	Rev growth	EBITDA margin	D&A / rev	Capex / rev	NWC / rev	Tax
2026E	11.0%	28.3%	5.3%	10.2%	31.0%	23.9%
2027E	9.1%	28.3%	5.3%	9.4%	31.0%	23.9%
2028E	7.5%	28.3%	5.3%	8.8%	31.0%	23.9%
2029E	6.3%	28.3%	5.3%	8.3%	31.0%	23.9%
2030E	5.6%	28.3%	5.3%	8.0%	31.0%	23.9%

Free cash flow to the firm

	2026E	2027E	2028E	2029E	2030E
EBIT	85,845	93,646	100,677	107,008	113,022
Tax on EBIT	-20,543	-22,410	-24,092	-25,607	-27,046
NOPAT	**65,302**	**71,237**	**76,585**	**81,401**	**85,975**
Depreciation and amortisation	19,681	21,470	23,082	24,533	25,912
Capital expenditure	-38,021	-38,308	-38,308	-38,356	-39,148
Change in working capital	-11,425	-10,512	-9,473	-8,530	-8,103
FCFF	**35,538**	**43,887**	**51,886**	**59,048**	**64,637**

Every figure is a cash impact, so a negative number is an outflow. Tax is charged on unlevered EBIT and interest is absent: the financing effect belongs in the discount rate, and counting it here as well would value the debt tax shield twice.

What to argue with

• Terminal capex (39,148) still runs 1.5x terminal D&A (25,912) even after fading toward the ROIC-consistent level. In perpetuity the two should converge, so terminal value from this base may still overstate the reinvestment the company can sustain.

Data quality: only 4 years of history, which is thin for a trend-based forecast.

Sun Pharmaceutical (SUNPHARMA)

Pharmaceuticals | FY2022 to FY2025 | INR millions | assumption confidence: medium

FY	Revenue	EBITDA	EBIT	D&A	Capex	NWC	dNWC	Net debt	Growth	EBITDA %	Capex %
2022	432,789	121,109	95,804	25,304	20,856	107,594	n/a	-85,290	n/a	28.0%	4.8%
2023	477,584	138,832	113,264	25,568	22,018	100,063	-7,531	-160,550	10.4%	29.1%	4.6%
2024	520,412	165,589	139,835	25,754	21,286	99,797	-266	-239,555	9.0%	31.8%	4.1%
2025	582,201	183,956	154,578	29,378	36,094	115,380	15,583	-291,541	11.9%	31.6%	6.2%

What the history says

• Revenue compounded at 10.4% over 3 years, and at 10.4% over the last three.

• EBITDA compounded at 15.0%, against revenue at 10.4%: operating leverage is positive.

• Revenue growth: stable. Growth has been broadly stable, which makes a modest fade the neutral base case.

• EBITDA margin: expanding. EBITDA margin has expanded by 3.2%. Holding the recent level flat is the defensible base case; assuming further expansion needs a stated reason.

• EBIT margin: expanding. EBIT margin has expanded by 3.8%. Holding the recent level flat is the defensible base case; assuming further expansion needs a stated reason.

• FCF margin: improving. Cash conversion has improved, which supports the quality of reported earnings.

• Capex / revenue: stable. Capital intensity has been stable.

Forecast assumptions and why

revenue growth start: 0.1039 (low)

Revenue CAGR of 10.4%. The history is short enough that the recent window and the full period are the same span, so there is no longer-run rate to compare against and the forecast rests on fewer observations than it should.

revenue growth path: 0.1039 (low)

Fades geometrically from 10.4% to 9.0% over 5 years: 10.4%, 9.9%, 9.5%, 9.2%, 9.0%. Holding growth flat and then dropping straight to the terminal rate would imply a cliff that no business experiences.

ebitda margin: 0.3083 (medium)

Three-year average EBITDA margin of 30.8%, held flat. History says the margin is expanding. It has been expanding, but extending expansion into the forecast is the most common way a DCF is quietly steered upward, so the base case does not.

da pct revenue: 0.052 (high)

Median D&A of 5.2% of revenue. D&A is forecast as a share of revenue rather than grown independently, so it stays tied to the asset base that revenue implies. The median avoids letting one impairment set the run rate.

tax rate: 0.1665 (high)

Median effective tax rate of 16.6%, bounded to [10%, 35%]. The effective rate is used because it is what the company actually pays. The floor exists because temporary credits and one-off settlements should not be projected into perpetuity.

capex pct revenue: 0.0471 (medium)

Median capex of 4.7% of revenue, where capital intensity is stable. Capex is the assumption most often set too low, because it is the easiest way to manufacture free cash flow.

capex pct revenue path: 0.0471 (medium)

Terminal-consistent capex of 12.2% of revenue: the level that reinvests 41% of NOPAT, the share needed to sustain 9.0% growth at a 21.8% return on invested capital. Capex fades from its historical share of revenue toward this figure over the forecast, in step with revenue growth fading toward its terminal rate, rather than staying at an investment-phase level while the growth it was funding tails off underneath it. Path: 4.7%, 7.3%, 9.6%, 11.3%, 12.2%.

nwc pct revenue: 0.1998 (medium)

Three-year average non-cash working capital of 20.0% of revenue, consistent with the full-period median of 20.4%. Holding the ratio constant means growth consumes cash in proportion to the revenue it adds. A negative ratio means suppliers and customers fund the

business, so growth releases cash rather than consuming it.

terminal growth: 0.09 (medium)

Capped at long-run nominal GDP of 9.0%. No company can outgrow the economy in perpetuity, so this is a ceiling rather than a view.

Resulting forecast drivers

Year	Rev growth	EBITDA margin	D&A / rev	Capex / rev	NWC / rev	Tax
2026E	10.4%	30.8%	5.2%	4.7%	20.0%	16.7%
2027E	9.9%	30.8%	5.2%	7.3%	20.0%	16.7%
2028E	9.5%	30.8%	5.2%	9.6%	20.0%	16.7%
2029E	9.2%	30.8%	5.2%	11.3%	20.0%	16.7%
2030E	9.0%	30.8%	5.2%	12.2%	20.0%	16.7%

Free cash flow to the firm

	2026E	2027E	2028E	2029E	2030E
EBIT	164,722	181,034	198,216	216,401	235,877
Tax on EBIT	-27,426	-30,142	-33,003	-36,031	-39,273
NOPAT	**137,296**	**150,892**	**165,213**	**180,370**	**196,603**
Depreciation and amortisation	33,420	36,730	40,216	43,905	47,856
Capital expenditure	-30,271	-51,909	-74,074	-95,400	-112,647
Change in working capital	-12,086	-12,716	-13,394	-14,176	-15,183
FCFF	**128,359**	**122,996**	**117,961**	**114,699**	**116,630**

Every figure is a cash impact, so a negative number is an outflow. Tax is charged on unlevered EBIT and interest is absent: the financing effect belongs in the discount rate, and counting it here as well would value the debt tax shield twice.

What to argue with

• Terminal capex (112,647) still runs 2.4x terminal D&A (47,856) even after fading toward the ROIC-consistent level. In perpetuity the two should converge, so terminal value from this base may still overstate the reinvestment the company can sustain.

Data quality: only 4 years of history, which is thin for a trend-based forecast.

Bharti Airtel (BHARTIARTL)

Telecom | FY2022 to FY2025 | INR millions | assumption confidence: medium

FY	Revenue	EBITDA	EBIT	D&A	Capex	NWC	dNWC	Net debt	Growth	EBITDA %	Capex %
2022	1,391,448	672,880	308,562	364,318	265,385	-828,475	n/a	1,936,591	n/a	48.4%	19.1%
2023	1,499,824	681,725	286,349	395,376	400,515	-917,080	-88,605	1,833,221	7.8%	45.5%	26.7%
2024	1,729,852	1,015,829	560,126	455,703	396,799	-1,018,577	-101,497	1,811,873	15.3%	58.7%	22.9%
2025	2,109,728	1,157,261	630,153	527,108	467,142	-1,129,020	-110,443	1,452,135	22.0%	54.9%	22.1%

What the history says

• Revenue compounded at 14.9% over 3 years, and at 14.9% over the last three.

• EBITDA compounded at 19.8%, against revenue at 14.9%: operating leverage is positive.

• Revenue growth: accelerating. Growth has accelerated. Acceleration is rarely permanent, so a forecast should fade it toward a sustainable rate rather than extend it.

• EBITDA margin: expanding. EBITDA margin has expanded by 9.9%. Holding the recent level flat is the defensible base case; assuming further expansion needs a stated reason.

• EBIT margin: expanding. EBIT margin has expanded by 10.5%. Holding the recent level flat is the defensible base case; assuming further expansion needs a stated reason.

• FCF margin: improving. Cash conversion has improved, which supports the quality of reported earnings.

• Capex / revenue: stable. Capital intensity has been stable.

Forecast assumptions and why

revenue growth start: 0.1488 (low)

Revenue CAGR of 14.9%. The history is short enough that the recent window and the full period are the same span, so there is no longer-run rate to compare against and the forecast rests on fewer observations than it should.

revenue growth path: 0.1488 (low)

Fades geometrically from 14.9% to 9.0% over 5 years: 14.9%, 12.8%, 11.1%, 9.7%, 9.0%. Holding growth flat and then dropping straight to the terminal rate would imply a cliff that no business experiences.

ebitda margin: 0.5301 (medium)

Three-year average EBITDA margin of 53.0%, held flat. History says the margin is expanding. It has been expanding, but extending expansion into the forecast is the most common way a DCF is quietly steered upward, so the base case does not.

da pct revenue: 0.2626 (high)

Median D&A of 26.3% of revenue. D&A is forecast as a share of revenue rather than grown independently, so it stays tied to the asset base that revenue implies. The median avoids letting one impairment set the run rate.

tax rate: 0.3185 (high)

Median effective tax rate of 31.8%, bounded to [10%, 35%]. The effective rate is used because it is what the company actually pays. The floor exists because temporary credits and one-off settlements should not be projected into perpetuity.

capex pct revenue: 0.2254 (medium)

Median capex of 22.5% of revenue, where capital intensity is stable. Capex is the assumption most often set too low, because it is the easiest way to manufacture free cash flow.

capex pct revenue path: 0.2254 (medium)

Terminal-consistent capex of 47.3% of revenue: the level that reinvests 87% of NOPAT, the share needed to sustain 9.0% growth at a 10.3% return on invested capital. Capex fades from its historical share of revenue toward this figure over the forecast, in step with revenue growth fading toward its terminal rate, rather than staying at an investment-phase level while the growth it was funding tails off underneath it. Path: 22.5%, 31.2%, 38.6%, 44.2%, 47.3%.

nwc pct revenue: -0.5785 (medium)

Three-year average non-cash working capital of -57.8% of revenue, consistent with the full-period median of -59.2%. Holding the ratio constant means growth consumes cash in proportion to the revenue it adds. A negative ratio means suppliers and customers fund the business, so growth releases cash rather than consuming it.

terminal growth: 0.09 (medium)

Capped at long-run nominal GDP of 9.0%. No company can outgrow the economy in perpetuity, so this is a ceiling rather than a view.

Resulting forecast drivers

Year	Rev growth	EBITDA margin	D&A / rev	Capex / rev	NWC / rev	Tax
2026E	14.9%	53.0%	26.3%	22.5%	-57.9%	31.9%
2027E	12.8%	53.0%	26.3%	31.2%	-57.9%	31.9%
2028E	11.1%	53.0%	26.3%	38.6%	-57.9%	31.9%
2029E	9.7%	53.0%	26.3%	44.2%	-57.9%	31.9%
2030E	9.0%	53.0%	26.3%	47.3%	-57.9%	31.9%

Free cash flow to the firm

	2026E	2027E	2028E	2029E	2030E
EBIT	648,328	731,437	812,473	891,567	971,808
Tax on EBIT	-206,492	-232,963	-258,773	-283,964	-309,521
NOPAT	**441,835**	**498,474**	**553,700**	**607,603**	**662,287**
Depreciation and amortisation	636,452	718,039	797,590	875,236	954,007
Capital expenditure	-546,292	-853,799	-1,171,115	-1,473,902	-1,719,065
Change in working capital	181,607	179,733	175,250	171,051	173,531
FCFF	**713,602**	**542,447**	**355,425**	**179,987**	**70,760**

Every figure is a cash impact, so a negative number is an outflow. Tax is charged on unlevered EBIT and interest is absent: the financing effect belongs in the discount rate, and counting it here as well would value the debt tax shield twice.

What to argue with

• Terminal capex (1,719,065) still runs 1.8x terminal D&A (954,007) even after fading toward the ROIC-consistent level. In perpetuity the two should converge, so terminal value from this base may still overstate the reinvestment the company can sustain.

• Reinvestment averages 169% of NOPAT, so the company is investing more than it earns after tax and is funding growth externally.

Data quality: only 4 years of history, which is thin for a trend-based forecast.

NTPC (NTPC)

Utilities | FY2022 to FY2025 | INR millions | assumption confidence: low

FY	Revenue	EBITDA	EBIT	D&A	Capex	NWC	dNWC	Net debt	Growth	EBITDA %	Capex %
2022	1,740,762	500,084	352,161	147,923	248,185	119,885	n/a	2,205,561	n/a	28.7%	14.3%
2023	1,767,196	555,984	393,948	162,036	308,159	228,591	108,707	2,330,661	1.5%	31.5%	17.4%
2024	1,862,462	604,434	411,054	193,380	413,352	310,062	81,471	2,449,135	5.4%	32.5%	22.2%
2025	1,840,153	611,833	395,044	216,790	440,498	305,276	-4,786	2,645,549	-1.2%	33.2%	23.9%

What the history says

• Revenue compounded at 1.9% over 3 years, and at 1.9% over the last three.

• EBITDA compounded at 7.0%, against revenue at 1.9%: operating leverage is positive.

• Revenue growth: stable. Growth has been broadly stable, which makes a modest fade the neutral base case.

• EBITDA margin: expanding. EBITDA margin has expanded by 2.8%. Holding the recent level flat is the defensible base case; assuming further expansion needs a stated reason.

• EBIT margin: stable. EBIT margin has been stable, so the recent average is a reasonable forecast level.

• FCF margin: deteriorating. Cash conversion has deteriorated. Earnings are turning into cash less reliably, which is a warning worth carrying into the forecast.

• Capex / revenue: rising. Capital intensity is rising, which consumes free cash flow even when margins hold.

Forecast assumptions and why

revenue growth start: 0.0187 (low)

Revenue CAGR of 1.9%. The history is short enough that the recent window and the full period are the same span, so there is no longer-run rate to compare against and the forecast rests on fewer observations than it should.

revenue growth path: 0.0187 (low)

Fades geometrically from 1.9% to 2.0% over 5 years: 1.9%, 1.9%, 2.0%, 2.0%, 2.0%. Holding growth flat and then dropping straight to the terminal rate would imply a cliff that no business experiences.

ebitda margin: 0.3239 (medium)

Three-year average EBITDA margin of 32.4%, held flat. History says the margin is expanding. It has been expanding, but extending expansion into the forecast is the most common way a DCF is quietly steered upward, so the base case does not.

da pct revenue: 0.0978 (high)

Median D&A of 9.8% of revenue. D&A is forecast as a share of revenue rather than grown independently, so it stays tied to the asset base that revenue implies. The median avoids letting one impairment set the run rate.

tax rate: 0.2534 (high)

Median effective tax rate of 25.3%, bounded to [10%, 35%]. The effective rate is used because it is what the company actually pays. The floor exists because temporary credits and one-off settlements should not be projected into perpetuity.

capex pct revenue: 0.1982 (low)

Median capex of 19.8% of revenue, where capital intensity is rising. Capex is the assumption most often set too low, because it is the easiest way to manufacture free cash flow.

capex pct revenue path: 0.1982 (low)

Terminal-consistent capex of 14.2% of revenue: the level that reinvests 28% of NOPAT, the share needed to sustain 2.0% growth at a 7.2% return on invested capital. Capex fades from its historical share of revenue toward this figure over the forecast, in step with revenue growth fading toward its terminal rate, rather than staying at an investment-phase level while the growth it was funding tails off underneath it. Path: 19.8%, 17.8%, 16.2%, 14.9%, 14.2%.

nwc pct revenue: 0.1539 (medium)

Three-year average non-cash working capital of 15.4% of revenue, consistent with the full-period median of 14.8%. Holding the ratio constant means growth consumes cash in proportion to the revenue it adds. A negative ratio means suppliers and customers fund the

business, so growth releases cash rather than consuming it.

terminal growth: 0.02 (medium)

Floored at 2.0% inflation. Recent growth of 1.9% would imply the company grows below inflation in perpetuity, which means shrinking in real terms forever and eventually to nothing. A few years of weak growth is evidence about the cycle, not about the next century, and treating a cyclical window as a structural rate is not conservatism but a different and much stronger claim. The floor is what stops the terminal value being set by whichever part of the cycle the last four years happened to fall in.

Resulting forecast drivers

Year	Rev growth	EBITDA margin	D&A / rev	Capex / rev	NWC / rev	Tax
2026E	1.9%	32.4%	9.8%	19.8%	15.4%	25.3%
2027E	1.9%	32.4%	9.8%	17.8%	15.4%	25.3%
2028E	2.0%	32.4%	9.8%	16.2%	15.4%	25.3%
2029E	2.0%	32.4%	9.8%	14.9%	15.4%	25.3%
2030E	2.0%	32.4%	9.8%	14.2%	15.4%	25.3%

Free cash flow to the firm

	2026E	2027E	2028E	2029E	2030E
EBIT	423,839	431,960	440,400	449,138	458,120
Tax on EBIT	-107,401	-109,459	-111,597	-113,811	-116,088
NOPAT	**316,438**	**322,501**	**328,803**	**335,326**	**342,033**
Depreciation and amortisation	183,332	186,845	190,496	194,275	198,161
Capital expenditure	-371,538	-340,963	-315,195	-295,883	-287,556
Change in working capital	-5,296	-5,528	-5,745	-5,947	-6,114
FCFF	**122,936**	**162,855**	**198,359**	**227,772**	**246,523**

Every figure is a cash impact, so a negative number is an outflow. Tax is charged on unlevered EBIT and interest is absent: the financing effect belongs in the discount rate, and counting it here as well would value the debt tax shield twice.

What to argue with

• Reinvestment averages 100% of NOPAT, so the company is investing more than it earns after tax and is funding growth externally.

Data quality: only 4 years of history, which is thin for a trend-based forecast.

Power Grid Corp (POWERGRID)

Utilities | FY2022 to FY2025 | INR millions | assumption confidence: low

FY	Revenue	EBITDA	EBIT	D&A	Capex	NWC	dNWC	Net debt	Growth	EBITDA %	Capex %
2022	440,052	392,501	259,167	133,334	82,426	4,832	n/a	1,200,179	n/a	89.2%	18.7%
2023	442,028	411,256	278,581	130,953	114,097	38,665	33,833	1,216,342	0.4%	93.0%	25.8%
2024	440,729	410,411	281,279	129,132	241,340	32,492	-6,173	1,277,662	-0.3%	93.1%	54.8%
2025	447,654	398,827	268,421	130,406	372,791	15,302	-17,190	1,466,248	1.6%	89.1%	83.3%

What the history says

• Revenue compounded at 0.6% over 3 years, and at 0.6% over the last three.

• EBITDA compounded at 0.5%, against revenue at 0.6%: profit has grown more slowly than sales.

• Revenue growth: stable. Growth has been broadly stable, which makes a modest fade the neutral base case.

• EBITDA margin: stable. EBITDA margin has been stable, so the recent average is a reasonable forecast level.

• EBIT margin: stable. EBIT margin has been stable, so the recent average is a reasonable forecast level.

• FCF margin: deteriorating. Cash conversion has deteriorated. Earnings are turning into cash less reliably, which is a warning worth carrying into the forecast.

• Capex / revenue: rising. Capital intensity is rising, which consumes free cash flow even when margins hold.

Forecast assumptions and why

revenue growth start: 0.0057 (low)

Revenue CAGR of 0.6%. The history is short enough that the recent window and the full period are the same span, so there is no longer-run rate to compare against and the forecast rests on fewer observations than it should.

revenue growth path: 0.0057 (low)

Fades geometrically from 0.6% to 2.0% over 5 years: 0.6%, 1.1%, 1.5%, 1.8%, 2.0%. Holding growth flat and then dropping straight to the terminal rate would imply a cliff that no business experiences.

ebitda margin: 0.9175 (high)

Three-year average EBITDA margin of 91.8%, held flat. History says the margin is stable. A stable history makes the recent average the natural forecast level.

da pct revenue: 0.2946 (high)

Median D&A of 29.5% of revenue. D&A is forecast as a share of revenue rather than grown independently, so it stays tied to the asset base that revenue implies. The median avoids letting one impairment set the run rate.

tax rate: 0.1439 (high)

Median effective tax rate of 14.4%, bounded to [10%, 35%]. The effective rate is used because it is what the company actually pays. The floor exists because temporary credits and one-off settlements should not be projected into perpetuity.

capex pct revenue: 0.4029 (low)

Median capex of 40.3% of revenue, where capital intensity is rising. Capex is the assumption most often set too low, because it is the easiest way to manufacture free cash flow.

capex pct revenue path: 0.4029 (low)

Terminal-consistent capex of 39.1% of revenue: the level that reinvests 18% of NOPAT, the share needed to sustain 2.0% growth at a 10.9% return on invested capital. Capex fades from its historical share of revenue toward this figure over the forecast, in step with revenue growth fading toward its terminal rate, rather than staying at an investment-phase level while the growth it was funding tails off underneath it. Path: 40.3%, 39.9%, 39.5%, 39.2%, 39.1%.

nwc pct revenue: 0.0651 (medium)

Three-year average non-cash working capital of 6.5% of revenue, consistent with the full-period median of 5.4%. Holding the ratio constant means growth consumes cash in proportion to the revenue it adds. A negative ratio means suppliers and customers fund the business, so growth releases cash rather than consuming it.

terminal growth: 0.02 (medium)

Floored at 2.0% inflation. Recent growth of 0.6% would imply the company grows below inflation in perpetuity, which means shrinking in real terms forever and eventually to nothing. A few years of weak growth is evidence about the cycle, not about the next century, and treating a cyclical window as a structural rate is not conservatism but a different and much stronger claim. The floor is what stops the terminal value being set by whichever part of the cycle the last four years happened to fall in.

Resulting forecast drivers

Year	Rev growth	EBITDA margin	D&A / rev	Capex / rev	NWC / rev	Tax
2026E	0.6%	91.8%	29.5%	40.3%	6.5%	14.4%
2027E	1.1%	91.8%	29.5%	39.9%	6.5%	14.4%
2028E	1.5%	91.8%	29.5%	39.5%	6.5%	14.4%
2029E	1.8%	91.8%	29.5%	39.2%	6.5%	14.4%
2030E	2.0%	91.8%	29.5%	39.1%	6.5%	14.4%

Free cash flow to the firm

	2026E	2027E	2028E	2029E	2030E
EBIT	280,433	283,437	287,671	292,910	298,768
Tax on EBIT	-40,354	-40,787	-41,396	-42,150	-42,993
NOPAT	**240,079**	**242,650**	**246,275**	**250,760**	**255,775**
Depreciation and amortisation	132,631	134,051	136,054	138,531	141,302
Capital expenditure	-181,388	-181,420	-182,490	-184,525	-187,496
Change in working capital	-166	-314	-443	-547	-612
FCFF	**191,156**	**194,968**	**199,396**	**204,219**	**208,969**

Every figure is a cash impact, so a negative number is an outflow. Tax is charged on unlevered EBIT and interest is absent: the financing effect belongs in the discount rate, and counting it here as well would value the debt tax shield twice.

Data quality: only 4 years of history, which is thin for a trend-based forecast.

Limitations

• **Four to five years of history.** Indian companies are not on SEC EDGAR, and the available source is shorter than the ten years the US path gives. Trend classification splits the history in half, so each half here is two observations. Every company in this report carries that warning.

• **The rules are deliberately conservative.** Flat margins and a capped terminal growth rate will understate a genuinely improving business. The bias is toward not being talked into a valuation, and it is a bias, not neutrality.

• **The equity risk premium is an estimate.** Unlike a bond yield there is no feed for it. 7.5% is used for India, including country risk, and it is stated as an assumption rather than buried in a discount rate.

• **Cash includes short-term investments.** Indian companies hold surplus in liquid funds rather than bank balances, so the narrow cash line understates liquidity and would turn net-cash companies into net-debt ones. The broader measure is used for both net debt and working capital.

• **Consolidated accounts include captive finance arms.** Bajaj Auto shows net debt because its lending subsidiary's borrowings consolidate into the parent. That is what the statements say, but it is financing-company debt sitting inside an industrial valuation, and it should be separated before the enterprise-to-equity bridge is trusted.

• **No accounting-quality checks.** One-off items, restatements and segment changes are not detected. The engine trusts the filed numbers.

• **Banks and NBFCs are absent by design.** FCFF and enterprise value assume debt is financing. For a lender it is raw material, so an unlevered DCF is the wrong instrument rather than an imprecise one.

• **No valuation is implied.** Nothing here has been discounted. A company with attractive assumptions is not thereby cheap; price has not entered the analysis.